John Butters
VP, Senior Earnings Analyst
jbutters@factset.com

Media Questions/Requests
media_request@factset.com

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Author's Note: ***The FactSet Earnings Insight report will not be published on December 26 or January 2. The next edition of the report will be published on January 9.***

Key Metrics

- **Earnings Growth:** For Q4 2025, the estimated (year-over-year) earnings growth rate for the S&P 500 is 8.3%. If 8.3% is the actual growth rate for the quarter, it will mark the 10th consecutive quarter of earnings growth.
- **Earnings Revisions:** On September 30, the estimated (year-over-year) earnings growth rate for the S&P 500 for Q4 2025 was 7.2%. However, only three sectors are expected to report higher earnings today (compared to September 30) due to upward revisions to EPS estimates.
- **Earnings Guidance:** For Q4 2025, 58 S&P 500 companies have issued negative EPS guidance and 50 S&P 500 companies have issued positive EPS guidance.
- **Valuation:** The forward 12-month P/E ratio for the S&P 500 is 21.8. This P/E ratio is above the 5-year average (20.0) and above the 10-year average (18.7).

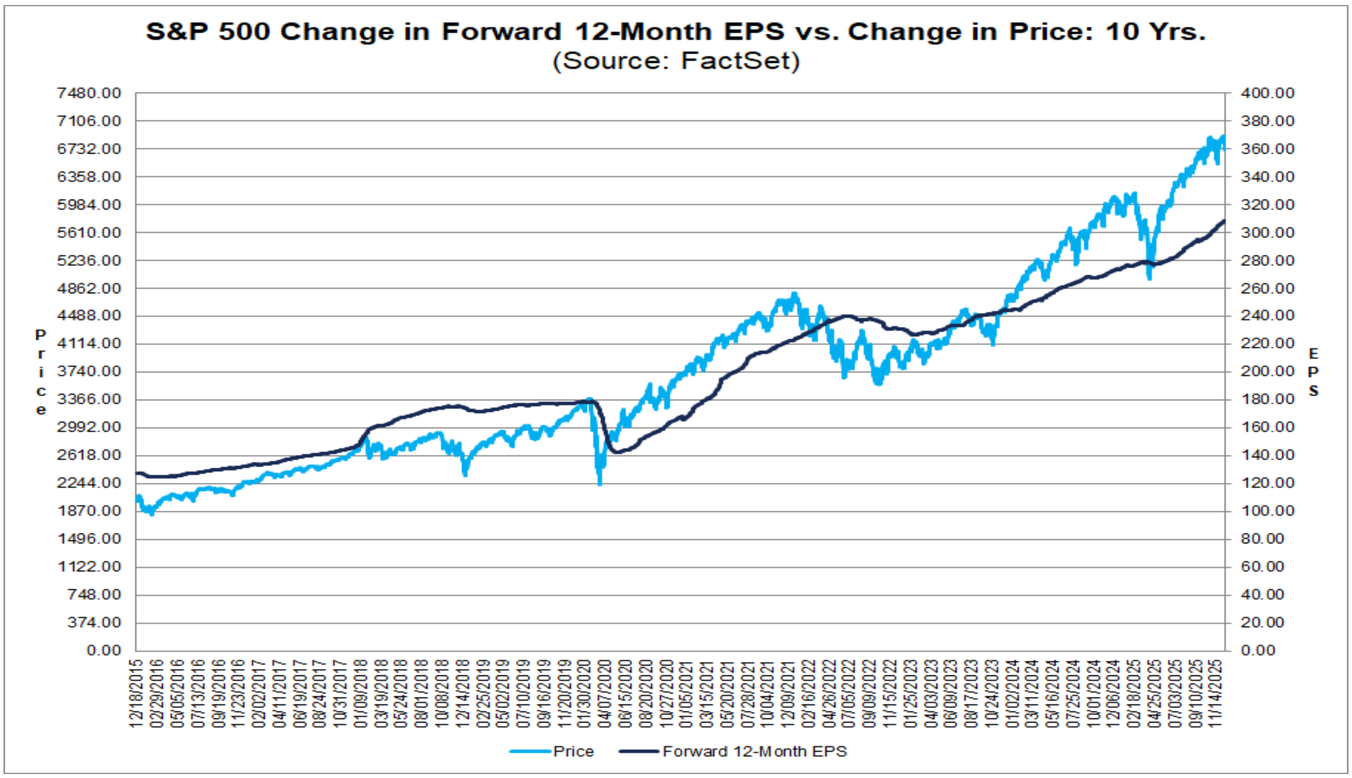

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Table of Contents

Commentary

Charts

Topic of the Week: 1

S&P 500 CY 2026 Earnings Preview: Analysts Expect Earnings Growth of 15%

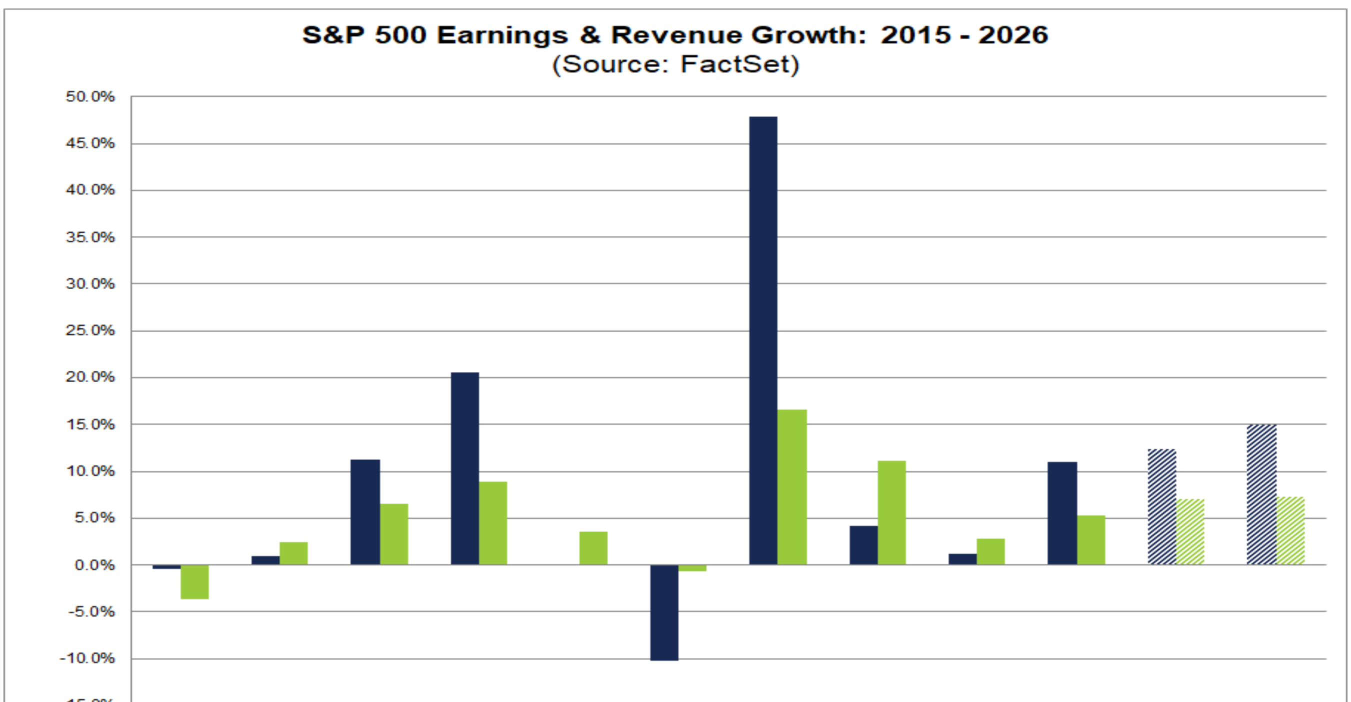
Analysts expect the S&P 500 to report double-digit earnings growth for the 3rd straight year in CY 2026. The estimated (year-over-year) earnings growth rate for CY 2026 is 15.0%, which is above the trailing 10-year average (annual) earnings growth rate of 8.6% (2015 – 2024). If 15.0% is the final number for the year, it will mark the 6th consecutive year of earnings growth and 3rd consecutive year of double-digit growth.

It is interesting to note that only two of the top five contributors to earnings growth for CY 2026 are "Magnificent 7" companies: NVIDIA and Meta Platforms. Overall, analysts expect the "Magnificent 7" companies will report earnings growth of 22.7% for CY 2026, which is slightly above the estimated earnings growth rate of 22.3% for CY 2025. On the other hand, analysts predict the other 493 companies will report earnings growth of 12.5% for CY 2026, which is above the estimated earnings growth rate of 9.4% for CY 2025.

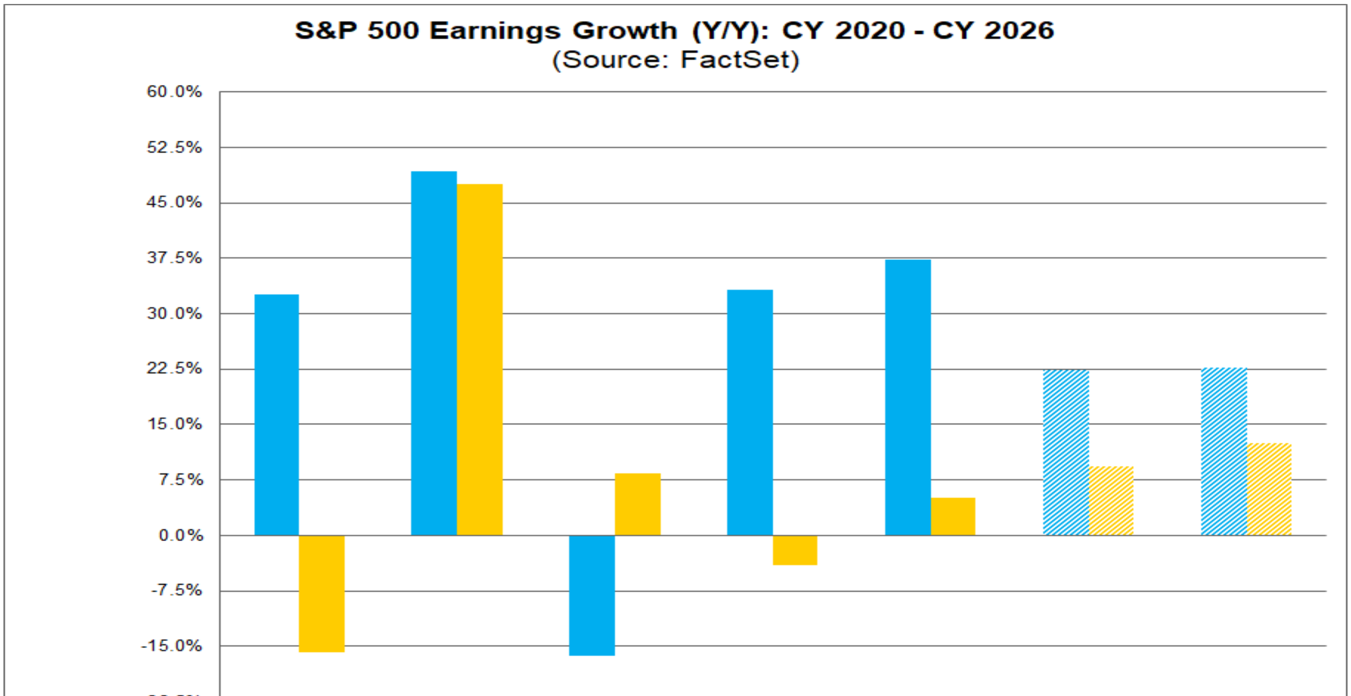
All eleven sectors are predicted to report year-over-year earnings growth in CY 2026. Five of these sectors are projected to report double-digit growth: Information Technology, Materials, Industrials, Communication Services, and Consumer Discretionary.

In terms of revenues, the estimated (year-over-year) revenue growth rate for CY 2026 is 7.2%, which is above the trailing 10-year average (annual) revenue growth rate of 5.3% (2015 – 2024). Ten of the eleven sectors are projected to report year-over-year growth in revenues, led by the Information Technology and Communication Services sectors. On the other hand, the Energy sector is the only sector predicted to report a year-over-year decline in revenues for CY 2026.

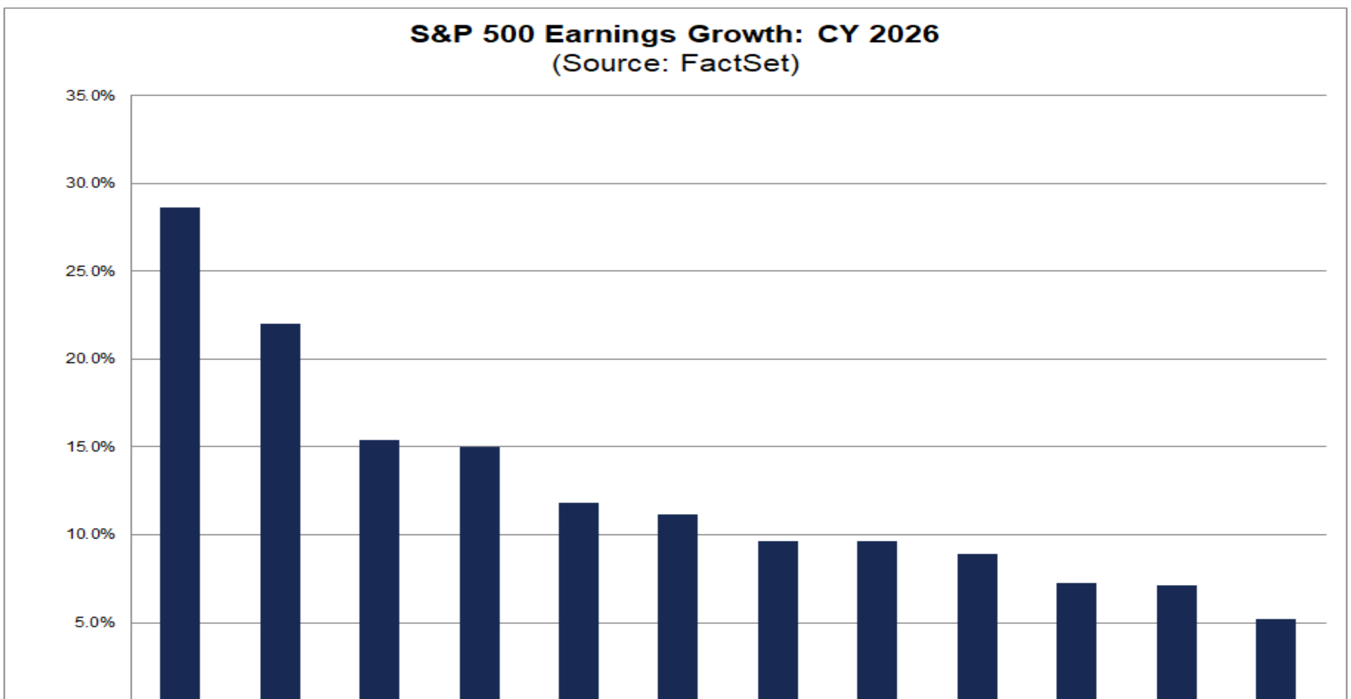
The estimated net profit margin for the S&P 500 for 2026 is 13.9%, which is above the 10-year average (annual) net profit margin of 11.0%. If 13.9% is the actual net profit margin for the year, it will mark the highest (annual) net profit margin reported by the index since FactSet began tracking this metric in 2008.



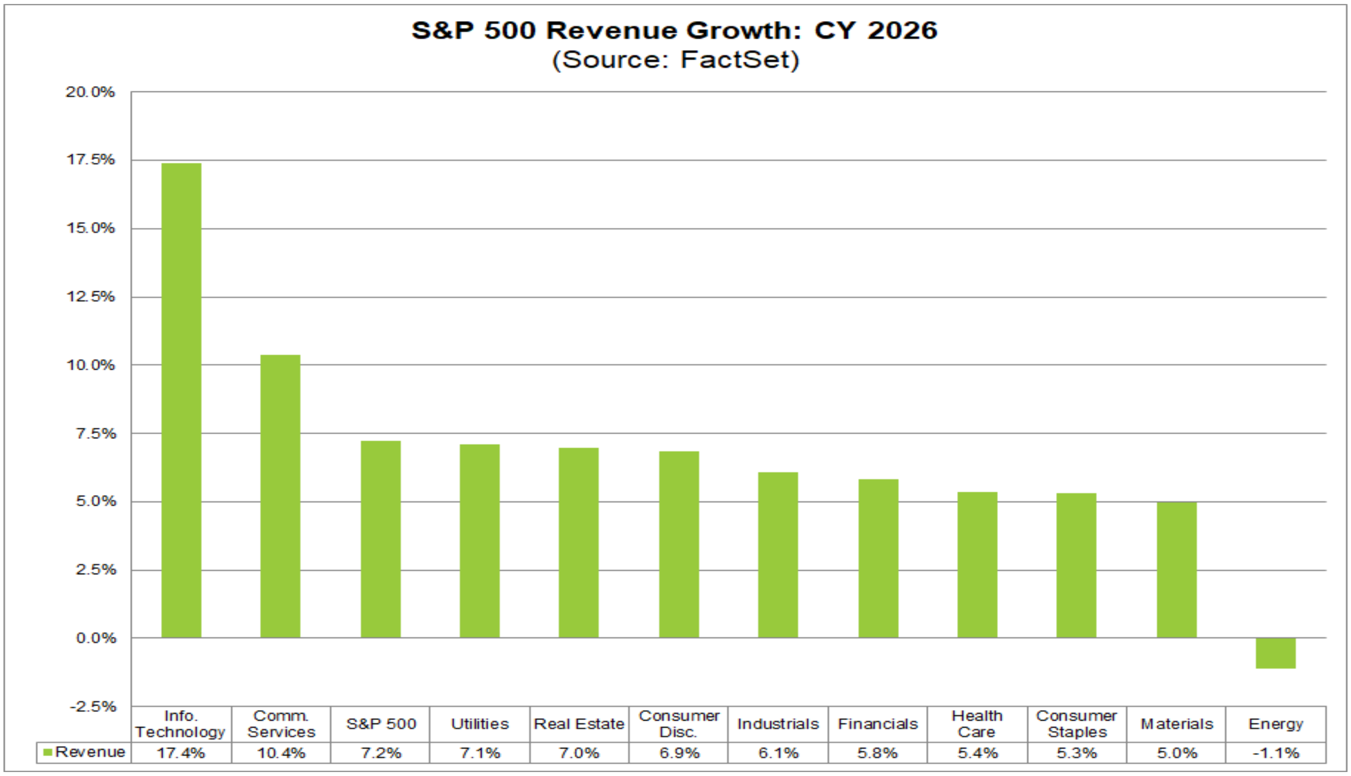
	CY15	CY16	CY17	CY18	CY19	CY20	CY21	CY22	CY23	CY24	CY25	CY26
Earnings	-0.4%	0.9%	11.2%	20.5%	0.0%	-10.2%	47.9%	4.1%	1.1%	11.0%	12.3%	15.0%
Sales	-3.6%	2.4%	6.6%	8.9%	3.5%	-0.7%	16.6%	11.1%	2.8%	5.2%	7.0%	7.2%

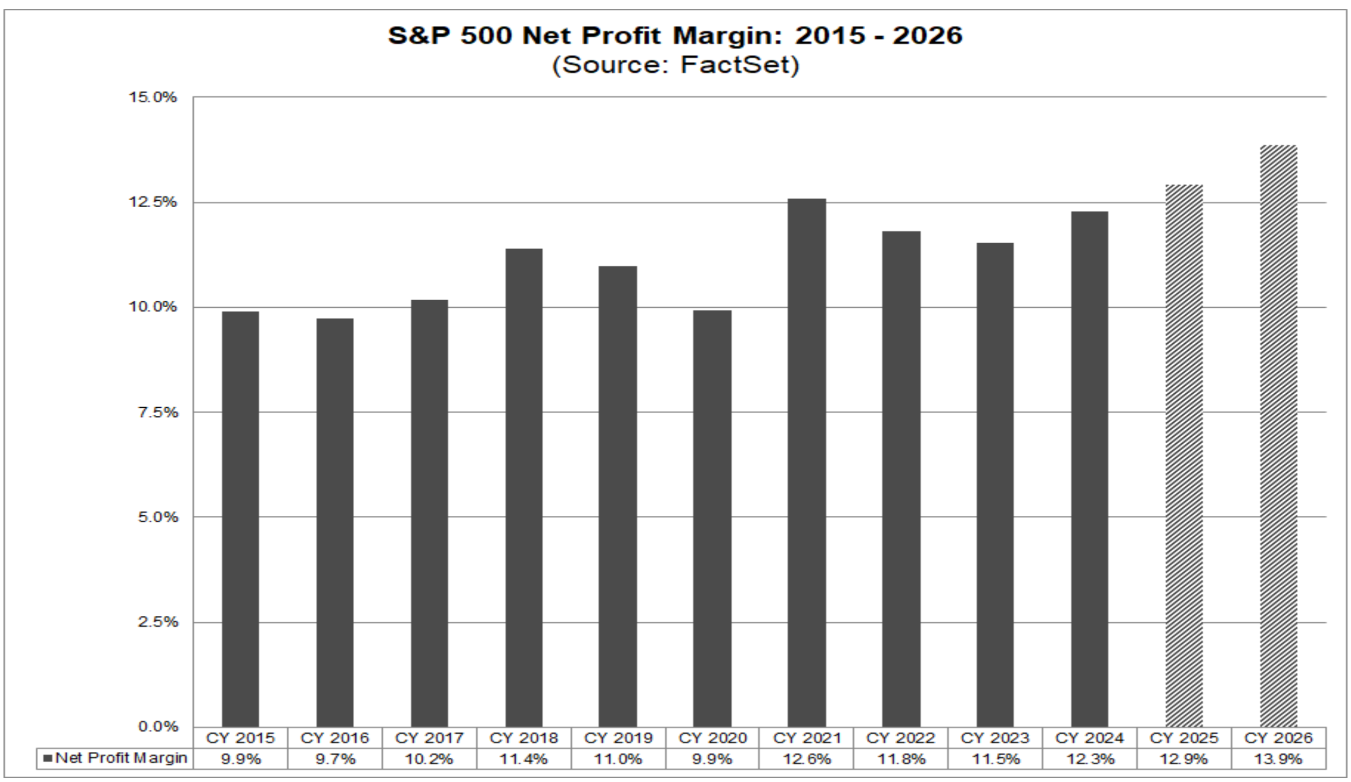


	CY 2020	CY 2021	CY 2022	CY 2023	CY 2024	CY 2025	CY 2026
"Magnificent 7" Cos.	32.6%	49.3%	-16.3%	33.3%	37.2%	22.3%	22.7%
Other 493 Cos.	-15.8%	47.6%	8.3%	-4.0%	5.1%	9.4%	12.5%



	Info. Technology	Materials	Industrials	S&P 500	Comm. Services	Consumer Disc.	Financials	Utilities	Health Care	Consumer Staples	Energy	Real Estate
Earnings	28.6%	22.0%	15.4%	15.0%	11.8%	11.2%	9.6%	9.6%	8.9%	7.3%	7.2%	5.2%


S&P 500 Revenue Growth: CY 2026
(Source: FactSet)
20.0%
17.5%
15.0%
12.5%
10.0%
7.5%
5.0%
2.5%
0.0%
-2.5%
Info. Technology
Comm. Services
S&P 500
Utilities
Real Estate
Consumer Disc.
Industrials
Financials
Health Care
Consumer Staples
Materials
Energy
Revenue
17.4%
10.4%
7.2%
7.1%
7.0%
6.9%
6.1%
5.8%
5.4%
5.3%
5.0%
-1.1%


S&P 500 Net Profit Margin: 2015 - 2026
(Source: FactSet)
15.0%
12.5%
10.0%
7.5%
5.0%
2.5%
0.0%
CY 2015
CY 2016
CY 2017
CY 2018
CY 2019
CY 2020
CY 2021
CY 2022
CY 2023
CY 2024
CY 2025
CY 2026
Net Profit Margin
9.9%
9.7%
10.2%
11.4%
11.0%
9.9%
12.6%
11.8%
11.5%
12.3%
12.9%
13.9%

Topic of the Week: 2

Where Are Analysts Most Optimistic on Ratings for S&P 500 Companies Heading Into 2026?

With the end of the year approaching, where are analysts most optimistic and pessimistic in terms of their ratings on stocks in the S&P 500?

Overall, there are 12,696 ratings on stocks in the S&P 500. Of these ratings, 57.5% are Buy ratings, 37.7% are Hold ratings, and 4.8% are Sell ratings. The percentage of Buy ratings is above its the 5-year (month-end) average of 55.5%. On the other hand, the percentage Hold ratings is below its 5-year (month-end) average of 38.8% and the percentage of Sell ratings is below its 5-year (month-end) average of 5.7%.

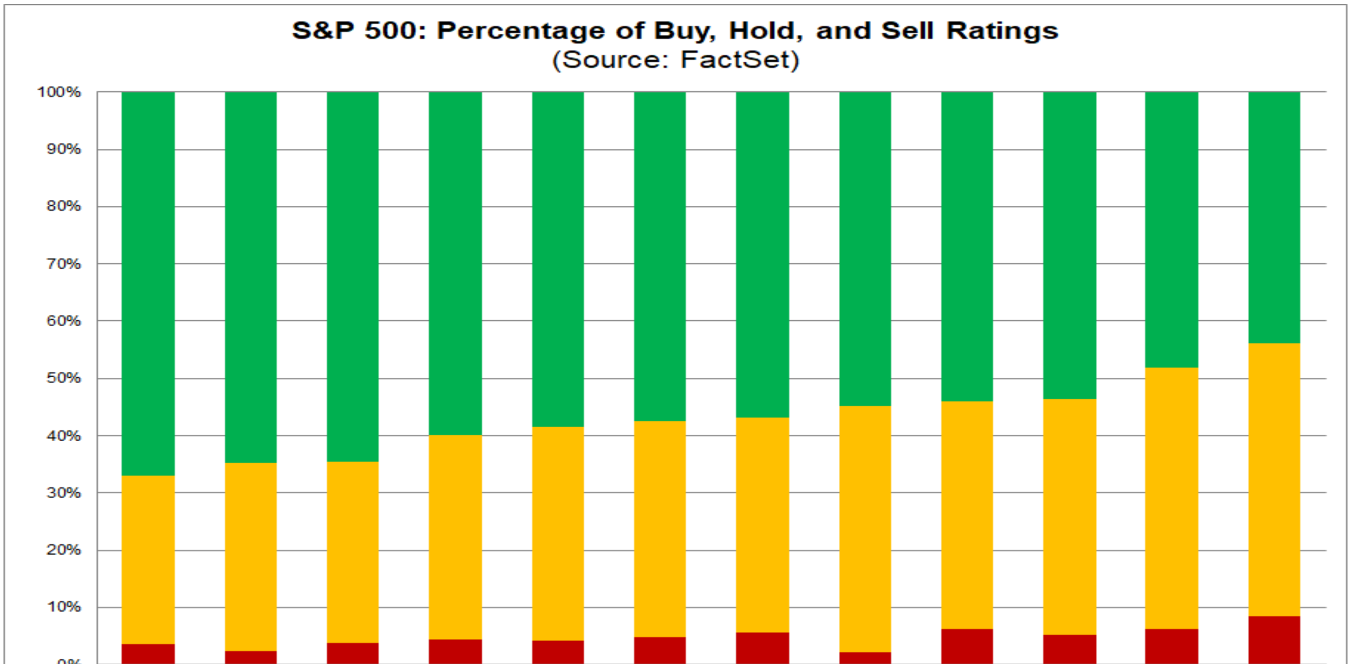
It is interesting to note that if 57.5% is the final percentage of Buy ratings for the month, it will tie the mark with February 2022 (57.5%) for the highest (month-end) percentage of Buy ratings going back to at least 2010.

At the sector level, analysts are most optimistic on the Information Technology, Energy, and Communication Services sectors, as these three sectors have the highest percentages of Buy ratings. On the other hand, analysts are most pessimistic on the Consumer Staples and Utilities sectors, as these two sectors have the lowest percentages of Buy ratings. The Consumer Staples sector also has the highest percentage of Hold ratings and the highest percentage of Sell ratings.

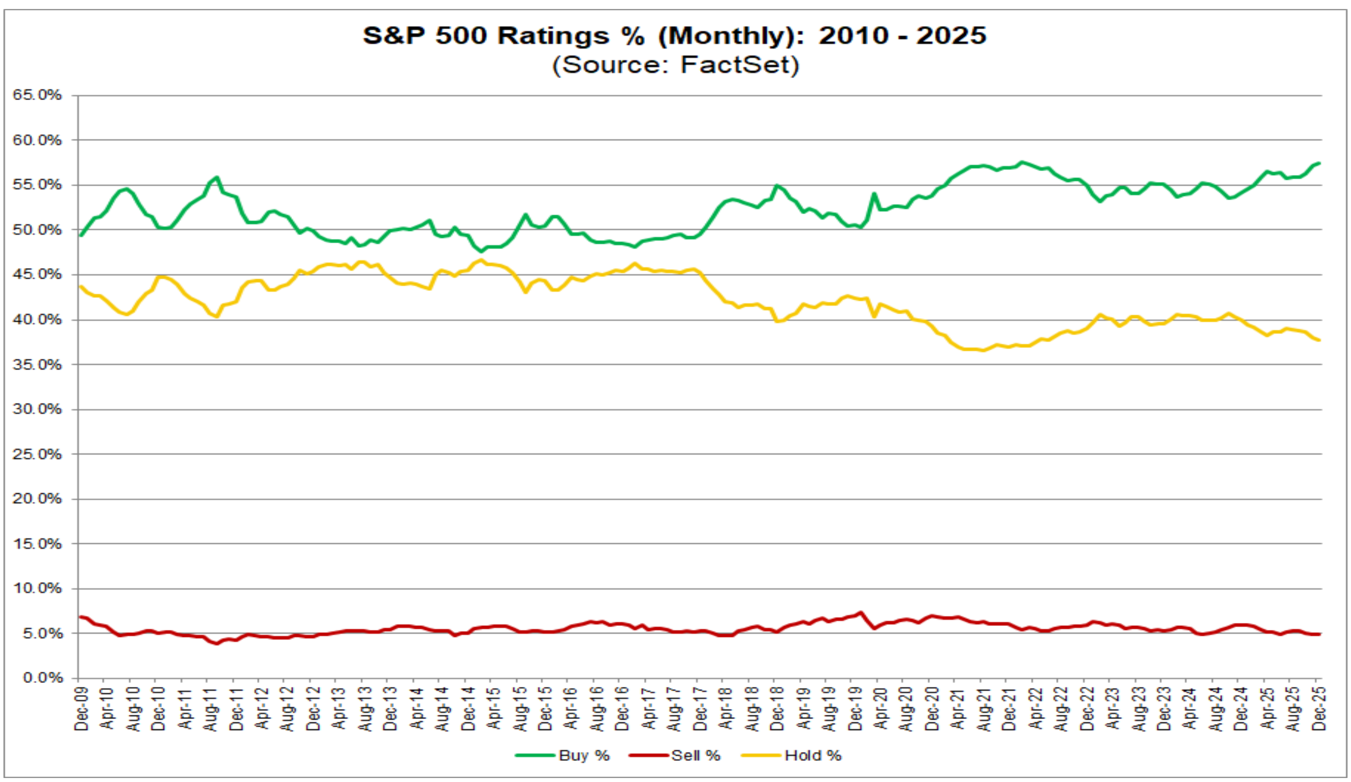
How accurate were the sector-level Buy ratings one-year ago (December 31, 2024) in terms of predicting price performance almost one year later?

Overall, the price of the S&P 500 has increased by 15% since December 31, 2024 (to 6774.76 from 5881.63). Two of the three sectors that have recorded the largest price increases since December 31 are also two of the three sectors that had the highest percentages of Buy ratings on December 31: Communication Services and Information Technology. On the other hand, only one of the three sectors that have recorded the smallest price increases since December 31 are also one of the three sectors that had the lowest percentages of Buy ratings on December 31: Consumer Staples.

The ten S&P 500 companies with the highest percentages of Buy ratings and Sell ratings (with a minimum of 3 ratings) can be found on page 8.



	Info. Tech.	Energy	Comm. Services	Materials	Health Care	S&P 500	Consumer Disc.	Real Estate	Financials	Industrials	Utilities	Consumer Staples
Buy	67%	65%	64%	60%	59%	57%	57%	55%	54%	54%	48%	44%
Hold	29%	33%	32%	36%	37%	38%	38%	43%	40%	41%	46%	48%
Sell	4%	2%	4%	4%	4%	5%	6%	2%	6%	5%	6%	8%

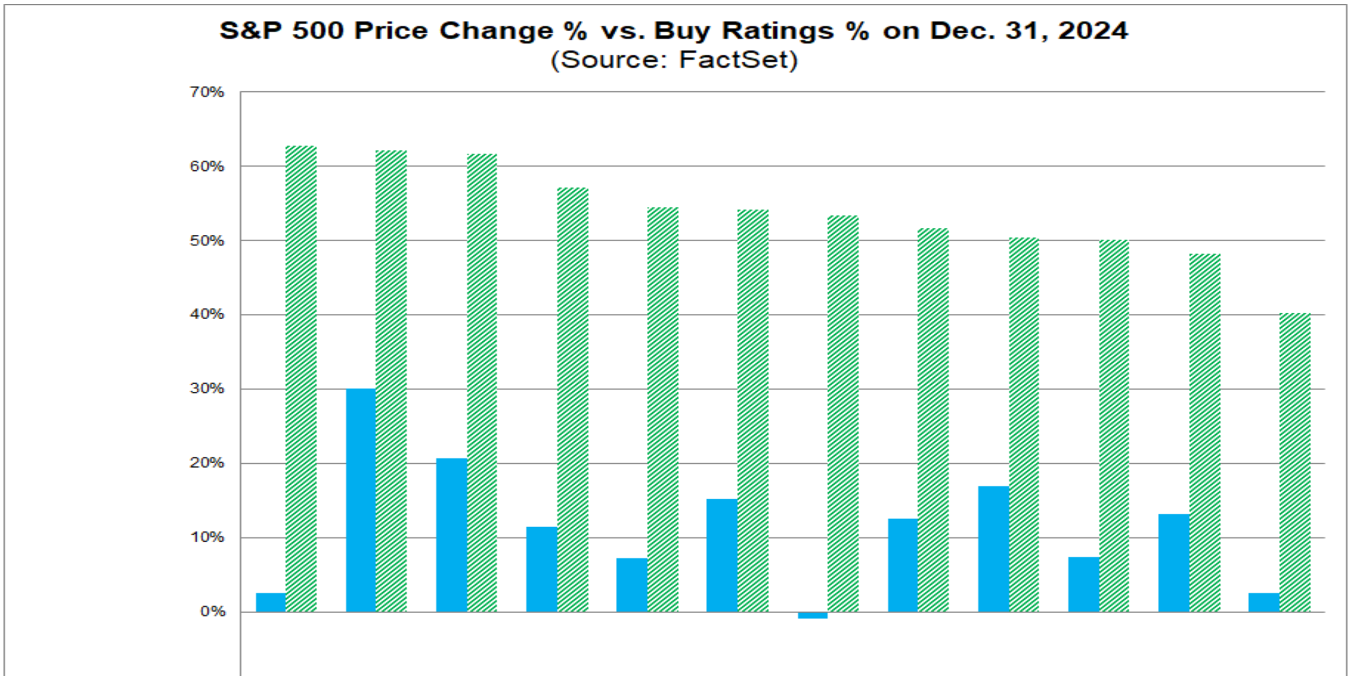


Highest % of Buy Ratings in S&P 500: Top 10 (Source: FactSet)

Company	Buy	Hold	Sell
Qnity Electronics, Inc.	**100%**	0%	0%
Microsoft Corporation	**98%**	2%	0%
Amazon.com, Inc.	**96%**	4%	0%
Boston Scientific Corporation	**94%**	6%	0%
Diamondback Energy, Inc.	**94%**	6%	0%
Broadcom Inc.	**94%**	6%	0%
SLB Limited	**94%**	6%	0%
Trimble Inc.	**93%**	7%	0%
Targa Resources Corp.	**92%**	8%	0%
Meta Platforms Inc Class A	**92%**	8%	0%

Highest % of Sell Ratings in S&P 500: Top 10 (Source: FactSet)

Company	Buy	Hold	Sell
Expeditors Intl. of Washington, Inc.	6%	53%	**41%**
Garmin Ltd.	27%	36%	**36%**
Franklin Resources, Inc.	21%	43%	**36%**
Consolidated Edison, Inc.	18%	47%	**35%**
Illinois Tool Works Inc.	10%	57%	**33%**
Lennar Corporation Class A	29%	38%	**33%**
Brown-Forman Corporation Class B	22%	44%	**33%**
T. Rowe Price Group, Inc.	0%	67%	**33%**
Fastenal Company	24%	48%	**29%**
Archer-Daniels-Midland Company	14%	57%	**29%**



	Energy	Comm. Services	Info. Tech.	Health Care	Consumer Disc.	S&P 500	Real Estate	Financials	Industrials	Materials	Utilities	Consumer Staples
Price Change % (YTD)	3%	30%	21%	11%	7%	15%	-1%	12%	17%	7%	13%	3%
Buy % (Dec. 31, 2024)	63%	62%	62%	57%	55%	54%	53%	52%	50%	50%	48%	40%

Q4 Earnings Season: By The Numbers

Overview

Heading into the final weeks of the quarter, both analysts and companies have been less pessimistic than normal in their earnings outlooks for the fourth quarter. As a result, estimated earnings for the S&P 500 for the fourth quarter are higher today compared to expectations at the start of the quarter. The index is also expected to report (year-over-year) earnings growth for the 10th straight quarter.

In terms of estimate revisions for companies in the S&P 500, analysts have increased earnings estimates for Q4 2025. On a per-share basis, estimated earnings for the fourth quarter have increased by 0.4% since September 30. In a typical quarter, analysts usually lower earnings estimates during the quarter. Over the past five years (20 quarters), earnings expectations have fallen by 1.6% on average during a quarter. Over the past ten years, (40 quarters), earnings expectations have fallen by 3.1% on average during a quarter.

In terms of guidance, both the number and percentage of S&P 500 companies issuing negative EPS guidance for Q4 2025 are lower than average. At this point in time, 108 companies in the index have issued EPS guidance for Q4 2025, Of these companies, 58 have issued negative EPS guidance and 50 have issued positive EPS guidance. The number of companies issuing negative EPS guidance is below the 5-year average (60) and below the 10-year average (60). The percentage of S&P 500 companies issuing negative EPS guidance for Q4 2025 is 54% (58 out of 108), which is below the 5-year average of 58% and below the 10-year average of 60%.

Due to the upward revisions to earnings estimates by analysts and the less negative EPS guidance issued by companies, the estimated (year-over-year) earnings growth rate for Q4 2025 is higher today relative to the start of the fourth quarter. As of today, the S&P 500 is expected to report (year-over-year) earnings growth of 8.3%, compared to the estimated (year-over-year) earnings growth rate of 7.2% on September 30.

If 8.3% is the actual growth rate for the quarter, it will mark the tenth consecutive quarter of year-over-year earnings growth for the index.

Nine of the eleven sectors are projected to report year-over-year growth, led by the Information Technology and Materials sectors. On the other hand, two sectors are predicted to report a year-over-year decline in earnings, led by the Consumer Discretionary sector.

In terms of revenues, analysts have also raised their estimates during the quarter. As of today, the S&P 500 is expected to report (year-over-year) revenue growth of 7.6%, compared to the expectations for revenue growth of 6.4% on September 30.

If 7.6% is the actual revenue growth rate for the quarter, it will mark the second-highest revenue growth rate reported by the index since Q3 2022 (11.0%), trailing on the previous quarter (8.4%). It will also mark the 21st consecutive quarter of revenue growth for the index.

Ten sectors are projected to report year-over-year growth in revenues, led by the Information Technology, Communication Services, and Health Care sectors. On the other hand, the Energy sector is the only sector predicted to report a year-over-year decline in revenues.

For CY 2025 analysts are predicting (year-over-year) earnings growth of 12.3%. For Q1 2026 and Q2 2026, analysts are calling for earnings growth rates of 13.1% and 14.6%, respectively. For CY 2026 analysts are projecting (year-over-year) earnings growth of 15.0%.

The forward 12-month P/E ratio is 21.8, which is above the 5-year average (20.0) and above the 10-year average (18.7). However, this P/E ratio is below the forward P/E ratio of 22.8 recorded at the end of the third quarter (September 30).

During the upcoming week, no S&P 500 companies are scheduled to report results for the fourth quarter.

Earnings Revisions: Technology Sector Has Seen Largest Increase in EPS Estimates

Increase in Estimated Earnings Growth Rate for Q4 This Week

During the past week, the estimated earnings growth rate for the S&P 500 for Q4 2025 increased to 8.3% from 8.1%. The positive EPS surprise reported by Micron Technology ($4.78 vs. $3.96) was the largest contributor to the increase in the overall earnings growth rate for the index during the past week.

The estimated earnings growth rate for the S&P 500 for Q4 2025 of 8.3% today is above the estimate of 7.2% at the start of the quarter (September 30), as estimated earnings for the index of $622.1 billion today are 1.1% above the estimate of $615.5 billion at the start of the quarter. Three sectors have recorded an increase in (expected) dollar-level earnings due to upward revisions to earnings estimates, led by the Information Technology and Financials sectors. On the other hand, eight sectors have recorded a decrease in expected (dollar-level) earnings due to downward revisions to earnings estimates, led by the Utilities and Consumer Staples sectors.

Information Technology: Apple and NVIDIA Lead Earnings Increase Since September 30

The Information Technology sector has recorded the largest percentage increase in estimated (dollar-level) earnings of all eleven sectors since the start of the quarter at 6.2% (to $179.2 billion from $168.8 billion). As a result, the estimated (year-over-year) earnings growth rate for this sector has increased to 25.7% today from 18.4% on September 30. Despite the increase in earnings, this sector has recorded a decrease in price of 0.9% since September 30. Overall, 50 of the 70 companies (71%) in the Information Technology sector have seen an increase in their mean EPS estimate during this time. Of these 50 companies, 12 have recorded an increase in their mean EPS estimate of more than 10%, led by Sandisk Corporation (to $3.32 from $1.54), Oracle (to $2.26 from $1.64), Teradyne (to $1.36 from $1.01), Micron Technology (to $4.78 from $3.69), Datadog (to $0.55 from $0.45), and Palantir Technologies (to $0.23 from $0.19). However, Apple ($2.66 vs. $2.50), NVIDIA (to $1.51 from $1.42), Oracle, Micron Technology, and Microsoft (to $3.91 from $3.80) have been the largest contributors to the increase in expected (dollar-level) earnings for this sector since September 30.

Financials: JPMorgan Chase Leads Earnings Increase Since September 30

The Financials sector has recorded the second-largest percentage increase in estimated (dollar-level) earnings of all eleven sectors since the start of the quarter at 2.0% (to $113.0 billion from $110.8 billion). As a result, the estimated (year-over-year) earnings growth rate for this sector has increased to 6.4% today from 4.3% on September 30. This sector has also recorded an increase in price of 0.9% since September 30. Overall, 45 of the 76 companies (59%) in the Financials sector have seen an increase in their mean EPS estimate during this time. Of these 45 companies, 5 have recorded an increase in their mean EPS estimate of more than 10%: Robinhood Markets (to $0.59 from $0.45), Allstate (to $8.69 from $7.14), Cboe Global Markets (to $2.68 from $2.38), Morgan Stanley (to $2.40 vs. $2.13), and Interactive Brokers Group (to $0.57 from $0.52). However, JPMorgan Chase (to $4.94 vs. $4.77), Morgan Stanley, Wells Fargo (to $1.68 from $1.55), and Allstate have been the largest contributors to the increase in expected (dollar-level) earnings for this sector since September 30.

Utilities: 71% of Companies Have Recorded a Decrease in Earnings Since September 30

On the other hand, the Utilities sector has recorded the largest percentage decrease in estimated (dollar-level) earnings of all eleven sectors since the start of the quarter at -6.0% (to $14.3 billion from $15.2 billion). As a result, the estimated (year-over-year) earnings growth rate for this sector has decreased to 4.8% today from 11.5% on September 30. This sector has also recorded a decrease in price of 1.6% since September 30. Overall, 22 of the 31 companies (71%) in the Utilities sector have seen a decrease in their mean EPS estimate during this time. Of these 22 companies, 10 have recorded a decline in their mean EPS estimate of more than 10%, led by Edison International (to $1.42 from $2.11), NRG Energy (to $1.02 from $1.39), NextEra Energy (to $0.57 from $0.68), AES Corporation (to $0.63 from $0.75), and PG&E Corporation (to $0.37 from $0.44).

Consumer Staples: 72% of Companies Have Recorded a Decrease in Earnings Since September 30

The Consumer Staples sector has recorded the second-largest percentage decrease in estimated (dollar-level) earnings of all eleven sectors since the start of the quarter at -3.5% (to $34.6 billion from $35.8 billion). As a result, the estimated (year-over-year) earnings growth rate for this sector has decreased to 0.6% today from 4.3% on September 30. Despite the decrease in earnings, this sector has recorded an increase in price of 0.5% since September 30. Overall, 26 of the 36 companies (72%) in the Consumer Staples sector have seen a decrease in their mean EPS estimate during this time. Of these 26 companies, 5 have recorded a decline in their mean EPS estimate of more than 10%: Archer-Daniels-Midland Company (to $0.81 from $1.51), Bunge Global (to $1.91 from $3.03), Mondelez International (to $0.70 from $0.83), Kraft Heinz (to $0.61 from $0.70), and Hershey (to $1.39 from $1.58).

Index-Level EPS Estimate: 0.4% Increase Since September 30

The Q4 bottom-up EPS estimate (which is an aggregation of the median Q4 earnings estimates for all 500 companies in the index and can be used as a proxy for the earnings of the index) has increased by 0.4% (to $70.46 from $70.16) since September 30. In a typical quarter, analysts usually reduce earnings estimates. Over the past five years (20 quarters), earnings expectations have fallen by 1.6% on average during a quarter. Over the past ten years, (40 quarters), earnings expectations have fallen by 3.1% on average during a quarter. Over the past fifteen years (60 quarters), earnings expectations have fallen by 3.3% on average during a quarter. Over the past twenty years (60 quarters), earnings expectations have fallen by 4.3% on average during a quarter.

Guidance: Number of Companies Issuing Negative EPS Guidance for Q4 is Below Average

Quarterly Guidance: Number of Companies Issuing Negative EPS Guidance for Q4 is Below Average

At this point in time, 108 companies in the index have issued EPS guidance for Q4 2025. Of these 108 companies, 58 have issued negative EPS guidance and 50 have issued positive EPS guidance. The number of S&P 500 companies issuing negative EPS guidance for Q4 2025 is below the 5-year average of 60 and below the 10-year average of 60. The number of companies issuing positive EPS guidance for Q4 2025 is above the 5-year average of 44 and above the 10-year average of 39.

The percentage of companies issuing negative EPS guidance for Q4 2025 is 54% (58 out of 108), which is below the 5-year average of 58% and below the 10-year average of 60%.

Annual Guidance: 39% of S&P 500 Companies Issuing Negative Guidance for Current Year

At this point in time, 268 companies in the index have issued EPS guidance for the current fiscal year (FY 2025 or FY 2026). Of these 268 companies, 104 have issued negative EPS guidance and 164 have issued positive EPS guidance. The percentage of companies issuing negative EPS guidance is 39% (104 out of 268).

The term “guidance” (or “preannouncement”) is defined as a projection or estimate for EPS provided by a company in advance of the company reporting actual results. Guidance is classified as negative if the estimate (or mid-point of a range estimates) provided by a company is lower than the mean EPS estimate the day before the guidance was issued. Guidance is classified as positive if the estimate (or mid-point of a range of estimates) provided by the company is higher than the mean EPS estimate the day before the guidance was issued.

Earnings Growth: 8.3%

The estimated (year-over-year) earnings growth rate for Q4 2025 is 8.3%, which is below the 5-year average earnings growth rate of 14.9% and below the 10-year average earnings growth rate of 9.5%. If 8.3% is the actual growth rate for the quarter, it will mark the 10th consecutive quarter of year-over-year earnings growth for the index.

Nine of the eleven sectors are expected to report year-over-year earnings growth, led by the Information Technology and Materials sectors. On the other hand, two sectors are projected to report year-over-year decline in earnings, led by the Consumer Discretionary sector.

Information Technology: NVIDIA Is Largest Contributor to Year-Over-Year Growth

The Information Technology sector is expected to report the highest (year-over-year) earnings growth rate of all eleven sectors at 25.7%. At the industry level, all 6 industries in the sector are projected to report year-over-year earnings growth: Semiconductors & Semiconductor Equipment (46%), Electronic Equipment, Instruments, & Components (27%), Software (23%), Technology Hardware, Storage, & Peripherals (11%), Communication Equipment (8%), and IT Services (7%).

At the company level, NVIDIA ($1.51 vs. $0.89) is expected to be the largest contributor to earnings growth for the sector. If this company were excluded, the estimated earnings growth rate for the Information Technology sector would fall to 17.9% from 25.7%.

Materials: 2 of 4 Industries Expected to Report Year-Over-Year Growth Above 25%

The Materials sector is expected to report the second-highest (year-over-year) earnings growth rate of all eleven sectors at 9.3%. At the industry level, 2 of the 4 industries in the sector are projected to report year-over-year earnings growth. Both industries are predicted to report growth above 25%: Containers & Packaging (40%) and Metals & Mining (26%). On the other hand, 2 of the 4 industries are predicted to a year-over-year decline in earnings: Chemicals (-4%) and Construction Materials (-1%).

Consumer Discretionary: Automobiles Industry Is Largest Contributor to Year-Over-Year Decline

The Consumer Discretionary sector is expected to report the largest (year-over-year) earnings decline of all eleven sectors at -3.7%. At the industry level, 6 of the 9 industries in the sector are projected to report a year-over-year earnings decline. Three of these 6 industries are predicted to report a double-digit decline: Automobiles (-35%), Household Durables (-34%), and Textiles, Apparel, & Luxury Goods (-19%). On the other hand, 3 of the 9 industries in the sector are expected to report year-over-year growth in earnings. Two of these 3 industries are predicted to report double-digit growth: Leisure Products (107%) and Hotels, Restaurants, & Leisure (13%).

At the industry level, the Automobiles industry is also expected to be the largest contributor to the earnings decline for the sector. If this industry were excluded, the Consumer Discretionary sector would be expected to report earnings growth of 0.4% rather than an earnings decline of -3.7%.

Revenue Growth: 7.6%

The estimated (year-over-year) revenue growth rate for Q4 2025 is 7.6%, which is below the 5-year average revenue growth rate of 8.0% but above the 10-year average revenue growth rate of 5.7%. If 7.6% is the actual growth rate for the quarter. it will mark the second-highest revenue growth rate reported by the index since Q3 2022 (11.0%), trailing on the previous quarter (8.4%). It will also mark the 21st consecutive quarter of revenue growth for the index.

At the sector level, ten sectors are expected to report year-over-year growth in revenues, led by the Information Technology, Communication Services, and Health Care sectors. On the other hand, the Energy sector is the only sector that is projected to report a year-over-year decline in revenues.

Information Technology: All 6 Industries Expected to Report Year-Over-Year Growth

The Information Technology sector is expected to report the highest (year-over-year) revenue growth rate of all eleven sectors at 17.9%. At the industry level, all 6 industries in the sector are projected to report year-over-year revenue growth: Semiconductors & Semiconductor Equipment (31%), Electronic Equipment, Instruments, & Components (17%), Software (16%), Technology Hardware, Storage, & Peripherals (15%), Communication Equipment (10%), and IT Services (7%).

Communication Services: All 5 Industries Expected to Report Year-Over-Year Growth

The Communication Services sector is expected to report the second-highest (year-over-year) earnings growth rate of all eleven sectors at 10.2%. At the industry level, all 5 industries in the sector are projected to report year-over-year revenue growth: Interactive Media & Services (16%), Wireless Telecommunication Services (10%), Entertainment (7%), Diversified Telecommunication Services (1%), and Media (1%).

Health Care: All 5 Industries Expected to Report Year-Over-Year Growth

The Health Care sector is expected to report the third-highest (year-over-year) revenue growth rate of all eleven sectors at 9.0%. At the industry level, all 5 industries in the sector are projected to report year-over-year revenue growth: Health Care Providers & Services (10%), Health Care Equipment & Supplies (8%), Pharmaceuticals (6%), Life Sciences, Tools, & Services (5%), and Biotechnology (4%).

Energy: 3 of 5 Sub-Industries Expected to Report Year-Over-Year Decline

The Energy sector is expected to report the largest (year-over-year) revenue decline of all eleven sectors at -1.9%. Lower year-over-year oil prices are contributing to the year-over-year decrease in revenues for this sector, as the average price of oil to date in Q4 2025 ($59.34) is 15% below the average price for oil in Q4 2024 ($70.09). At the sub-industry level, 3 of the 5 sub-industries in the sector are predicted to report a year-over-year decline in revenues: Integrated Oil & Gas (-5%), Oil & Gas Refining & Marketing (-2%), and Oil & Gas Equipment & Services (-1%). On the other hand, two sub-industries are projected to report year-over-year growth in revenues: Oil & Gas Storage & Transportation (17%) and Oil & Gas Exploration & Production (3%).

Net Profit Margin: 12.8%

The estimated net profit margin for the S&P 500 for Q4 2025 is 12.8%, which is below the previous quarter's net profit margin of 13.1%, but above the year-ago net profit margin of 12.7% and above the 5-year average of 12.1%.

At the sector level, three sectors are expected to report a year-over-year increase in their net profit margins in Q4 2025 compared to Q4 2024, led by the Information Technology (28.5% vs. 26.8%) sector. On the other hand, seven sectors are expected to report a year-over-year decrease in their net profit margins in Q4 2025 compared to Q4 2024, led by the Real Estate (33.7% vs. 35.1%) sector. One sector (Utilities) is predicted to report no year-over-year change in net profit margin (12.8% vs. 12.8%).

Five sectors are expected to report net profit margins in Q4 2025 that are above their 5-year averages, led by the Information Technology (28.5% vs. 24.7%) sector. On the other hand, six sectors are expected to report net profit margins in Q4 2025 that are below their 5-year averages, led by the Health Care (7.1% vs. 9.3%), Materials (9.2% vs. 11.3%), and Real Estate (33.7% vs. 35.7%) sectors.

Forward Estimates & Valuation

Earnings: S&P 500 Expected to Report Earnings Growth of 12% for CY 2025

For the fourth quarter, S&P 500 companies are expected to report year-over-year growth in earnings of 8.3% and year-over-year growth in revenues of 7.6%. For CY 2025, S&P 500 companies are predicted to report year-over-year growth in earnings of 12.3% and year-over-year growth in revenues of 7.0%.

For Q1 2026, analysts are projecting earnings growth of 13.1% and revenue growth of 8.2%.

For Q2 2026, analysts are projecting earnings growth of 14.6% and revenue growth of 7.3%.

For Q3 2026, analysts are projecting earnings growth of 14.7% and revenue growth of 6.5%.

For Q4 2026, analysts are projecting earnings growth of 18.1% and revenue growth of 7.3%.

For CY 2026, analysts are projecting earnings growth of 15.0% and revenue growth of 7.2%.

Valuation: Forward P/E Ratio is 21.8, Above the 10-Year Average (18.7)

The forward 12-month P/E ratio for the S&P 500 is 22.5. This P/E ratio is above the 5-year average of 20.0 and above the 10-year average of 18.7. However, it is below the forward 12-month P/E ratio of 22.8 recorded at the end of the third quarter (September 30). At the sector level, the Consumer Discretionary (28.6) and Information Technology (26.6) sectors have the highest forward 12-month P/E ratios, while the Energy (15.7) and Financials (16.3) sectors have the lowest forward 12-month P/E ratios.

The trailing 12-month P/E ratio is 27.6, which is above the 5-year average of 25.0 and above the 10-year average of 22.9.

Targets & Ratings: Analysts Project 18% Increase in Price Over Next 12 Months

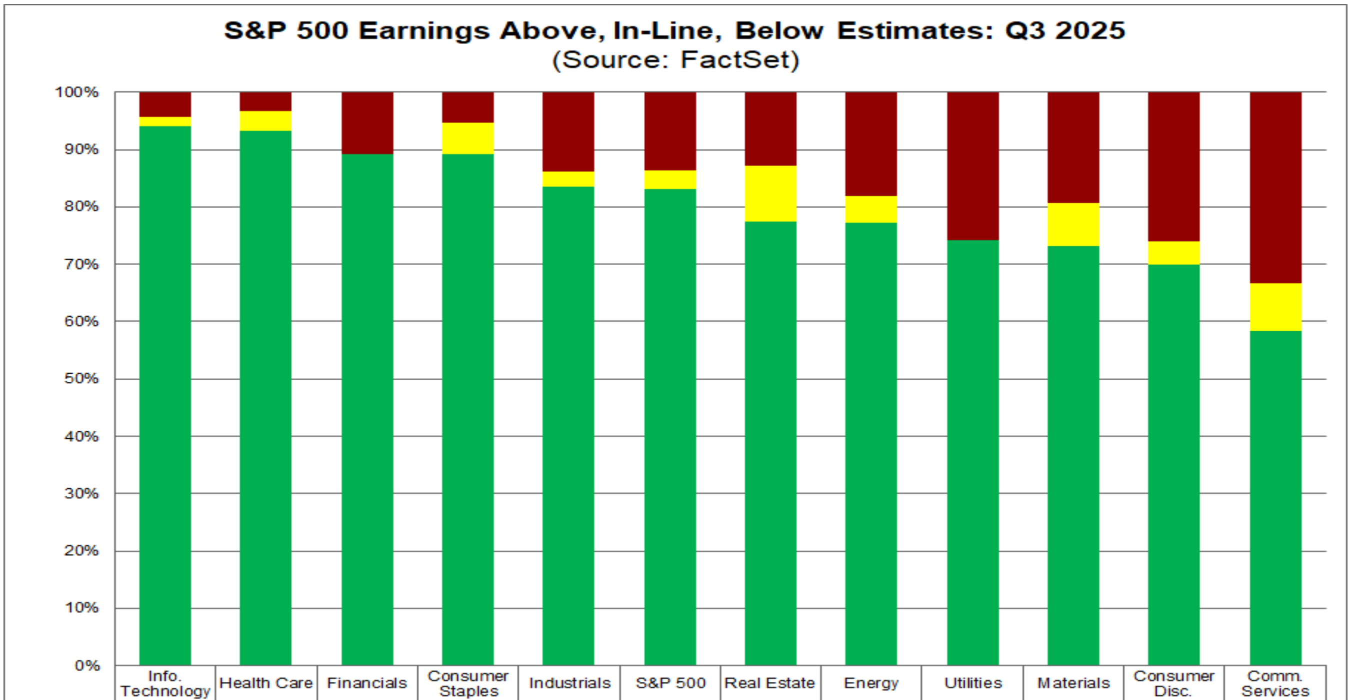
The bottom-up target price for the S&P 500 is 8010.64, which is 18.2% above the closing price of 6774.76. At the sector level, the Information Technology (+26.5%) sector is expected to see the largest price increase, as this sector has the largest upside difference between the bottom-up target price and the closing price. On the other hand, the Financials (+9.4%) sector is expected to see the smallest price increase, as this sector has the smallest upside difference between the bottom-up target price and the closing price.

Overall, there are 12,696 ratings on stocks in the S&P 500. Of these 12,696 ratings, 57.5% are Buy ratings, 37.7% are Hold ratings, and 4.8% are Sell ratings. At the sector level, the Information Technology (67%), Communication Services (65%), and Energy (64%) sectors have the highest percentages of Buy ratings, while the Consumer Staples (44%) and Utilities (48%) sectors have the lowest percentage of Buy ratings.

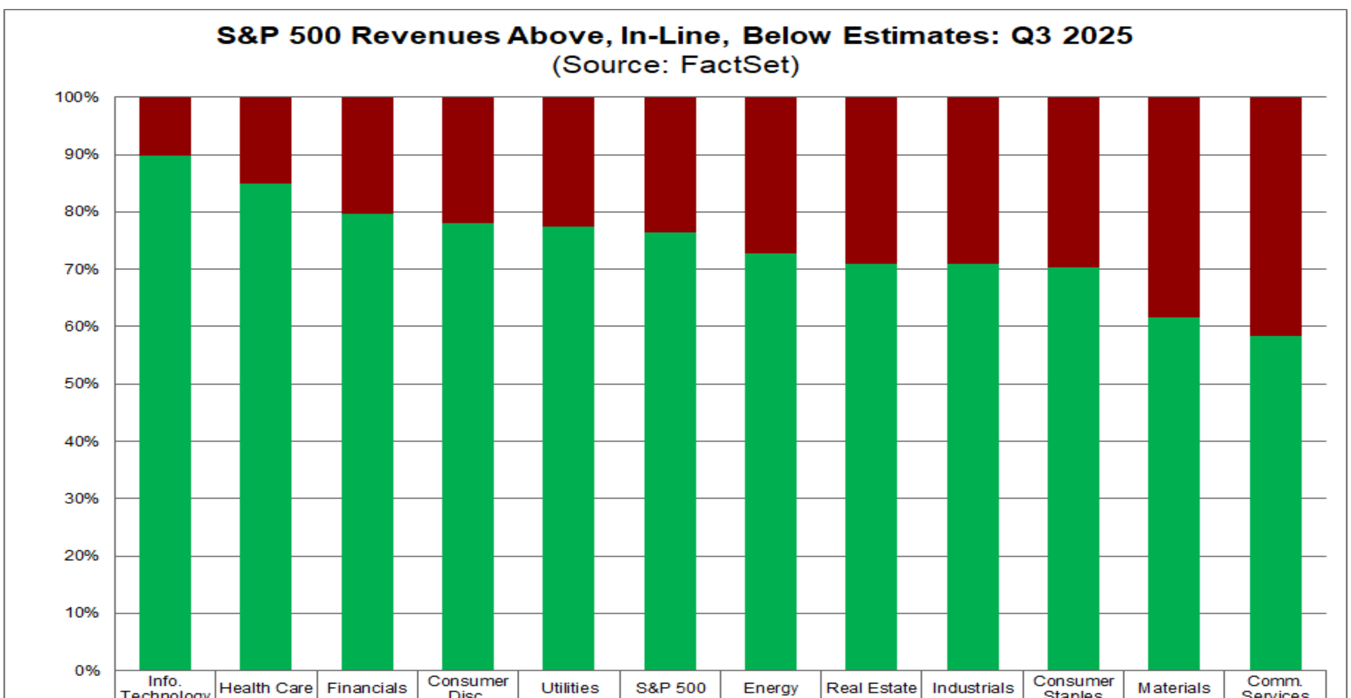
Companies Reporting Next Week: 0

During the upcoming week, no S&P 500 companies are scheduled to report results for the fourth quarter.

Q3 2025: Scorecard

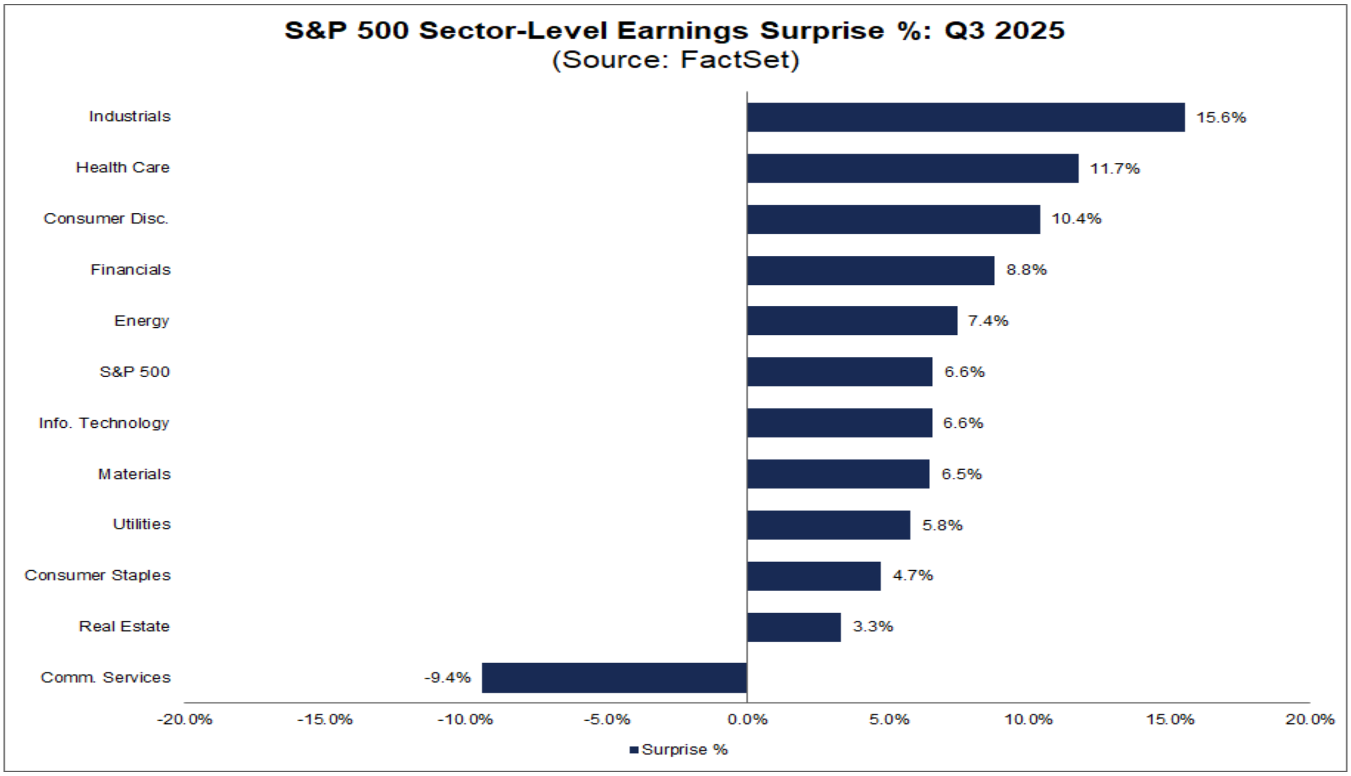


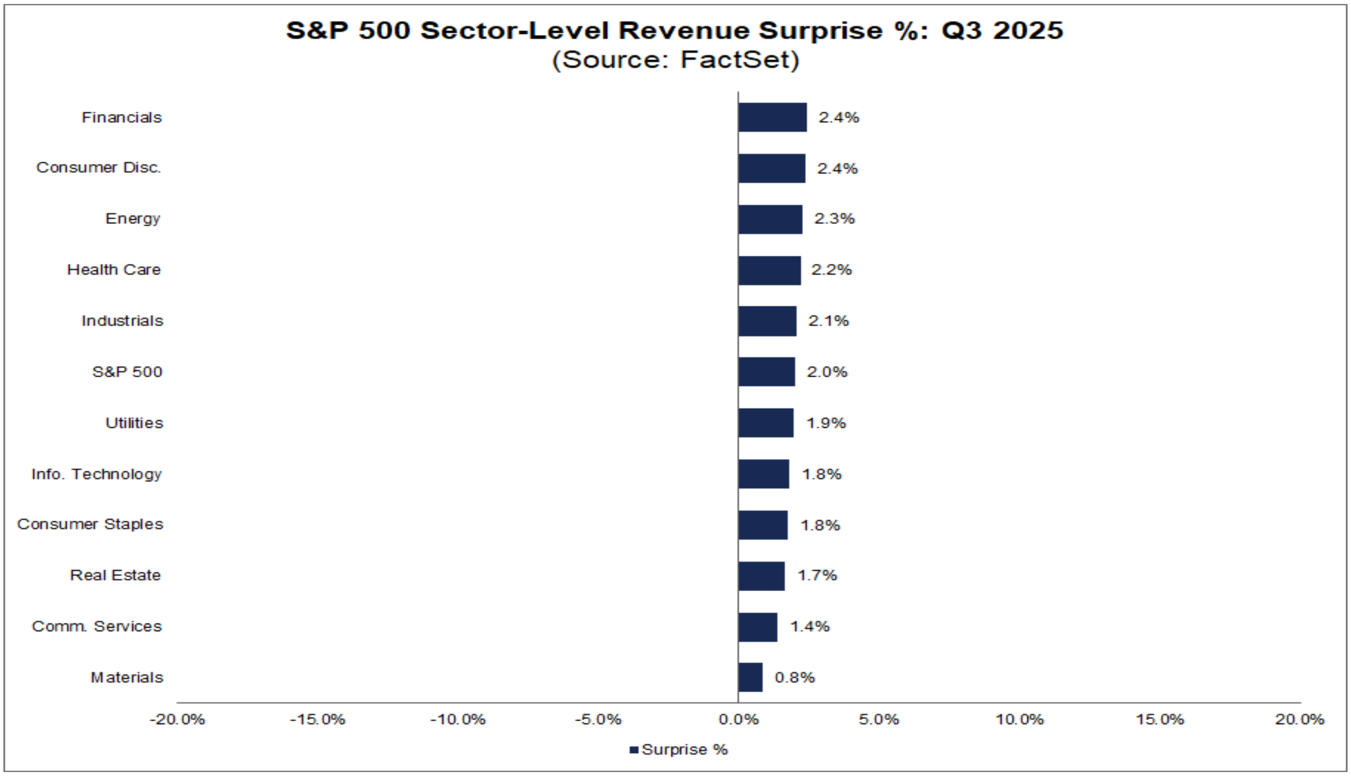
	Info. Technology	Health Care	Financials	Consumer Staples	Industrials	S&P 500	Real Estate	Energy	Utilities	Materials	Consumer Disc.	Comm. Services
Below	4%	3%	11%	5%	14%	14%	13%	18%	26%	19%	26%	33%
In-Line	1%	3%	0%	5%	3%	3%	10%	5%	0%	8%	4%	8%
Above	94%	93%	89%	89%	84%	83%	77%	77%	74%	73%	70%	58%



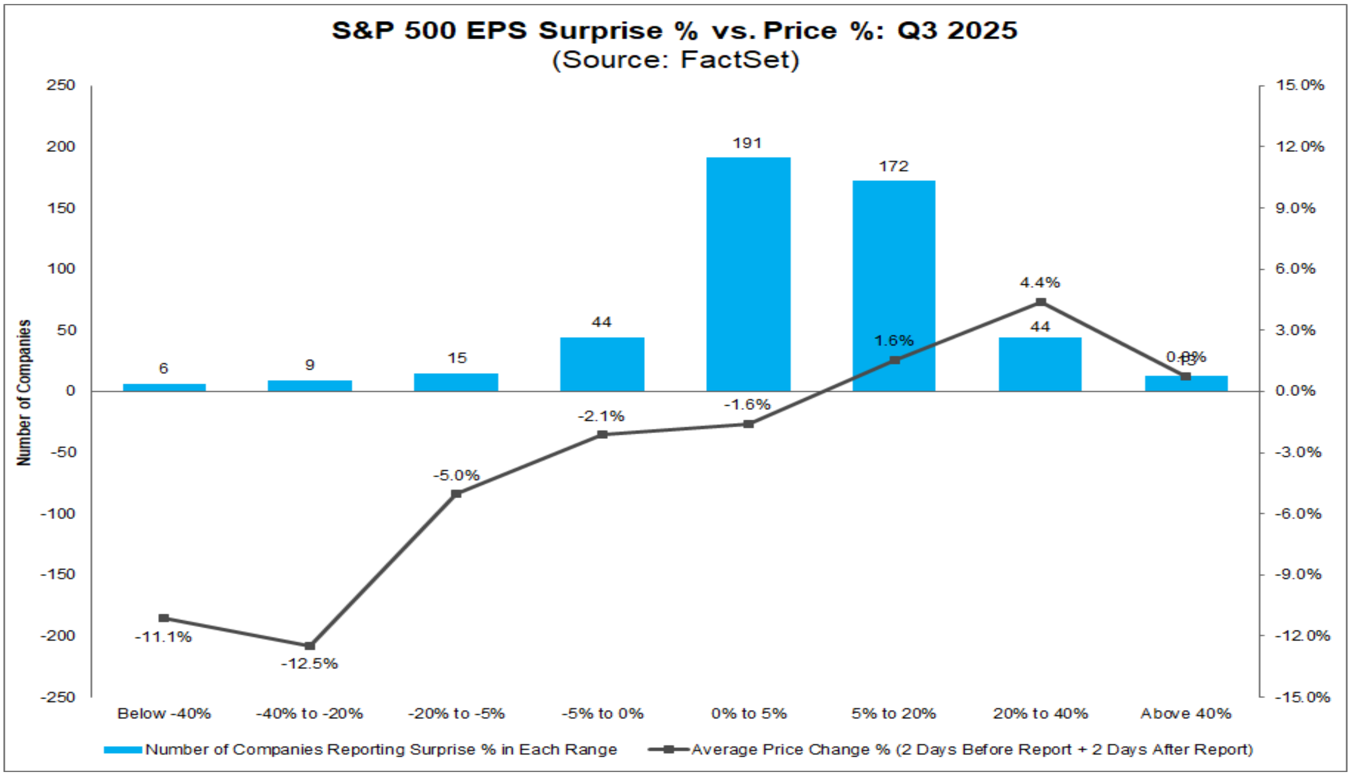
	Info. Technology	Health Care	Financials	Consumer Disc.	Utilities	S&P 500	Energy	Real Estate	Industrials	Consumer Staples	Materials	Comm. Services
Below	10%	15%	20%	22%	23%	24%	27%	29%	29%	30%	38%	42%
In-Line	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%
Above	90%	85%	80%	78%	77%	76%	73%	71%	71%	70%	62%	58%

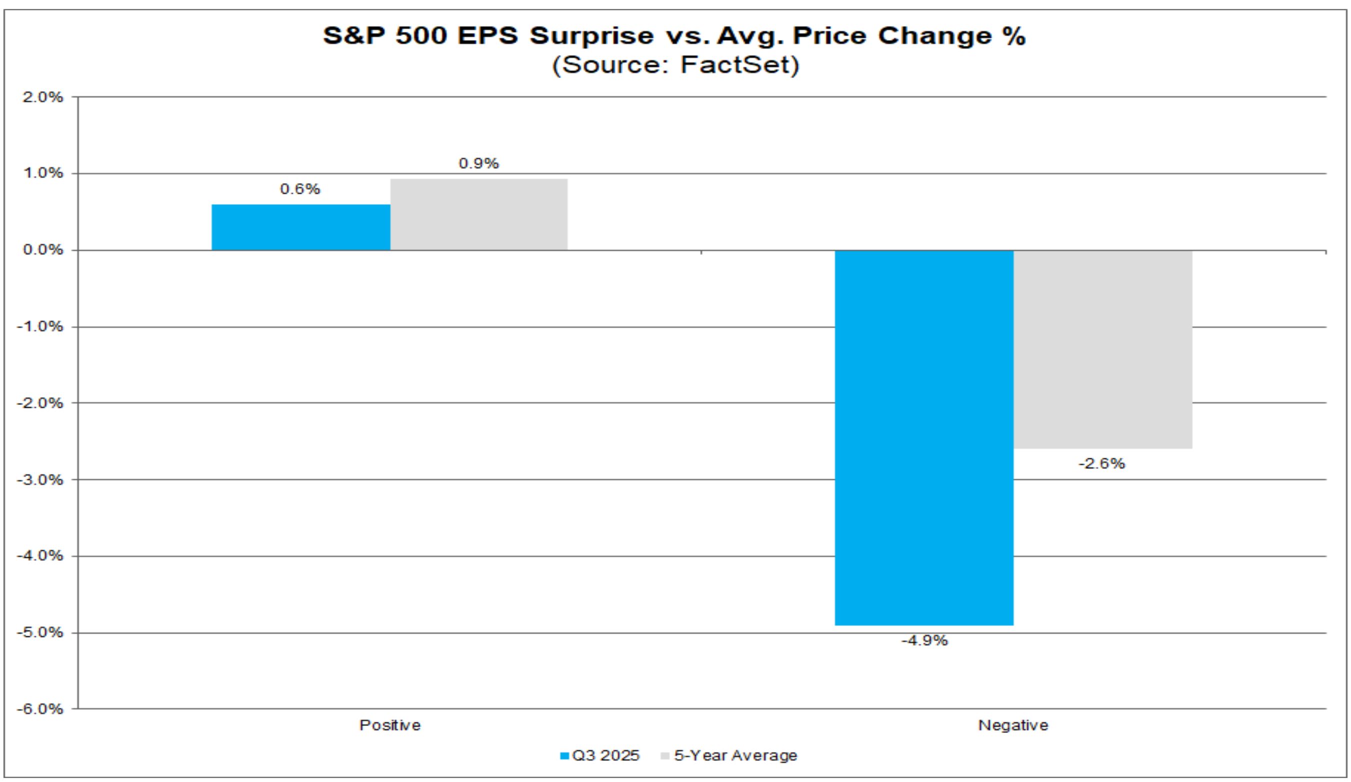
Q3 2025: Surprise



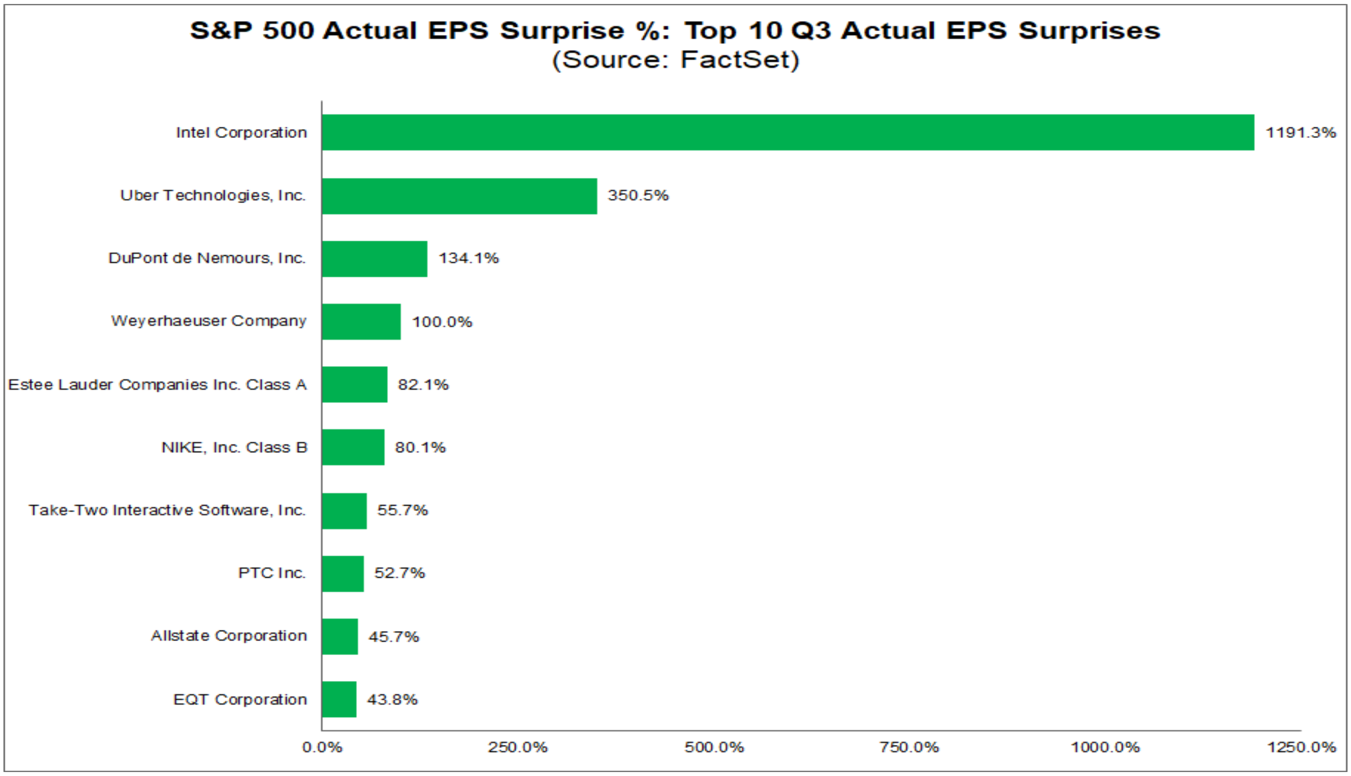


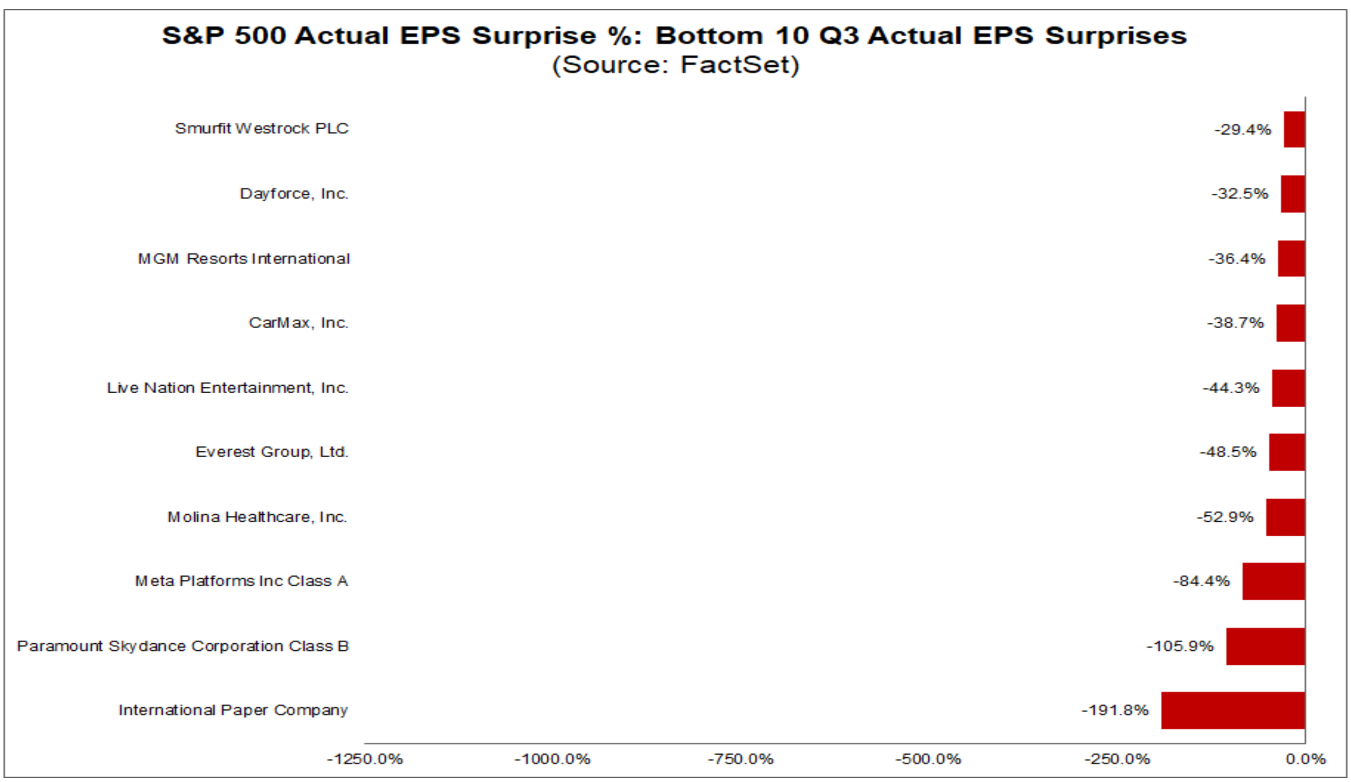
Q3 2025: Surprise



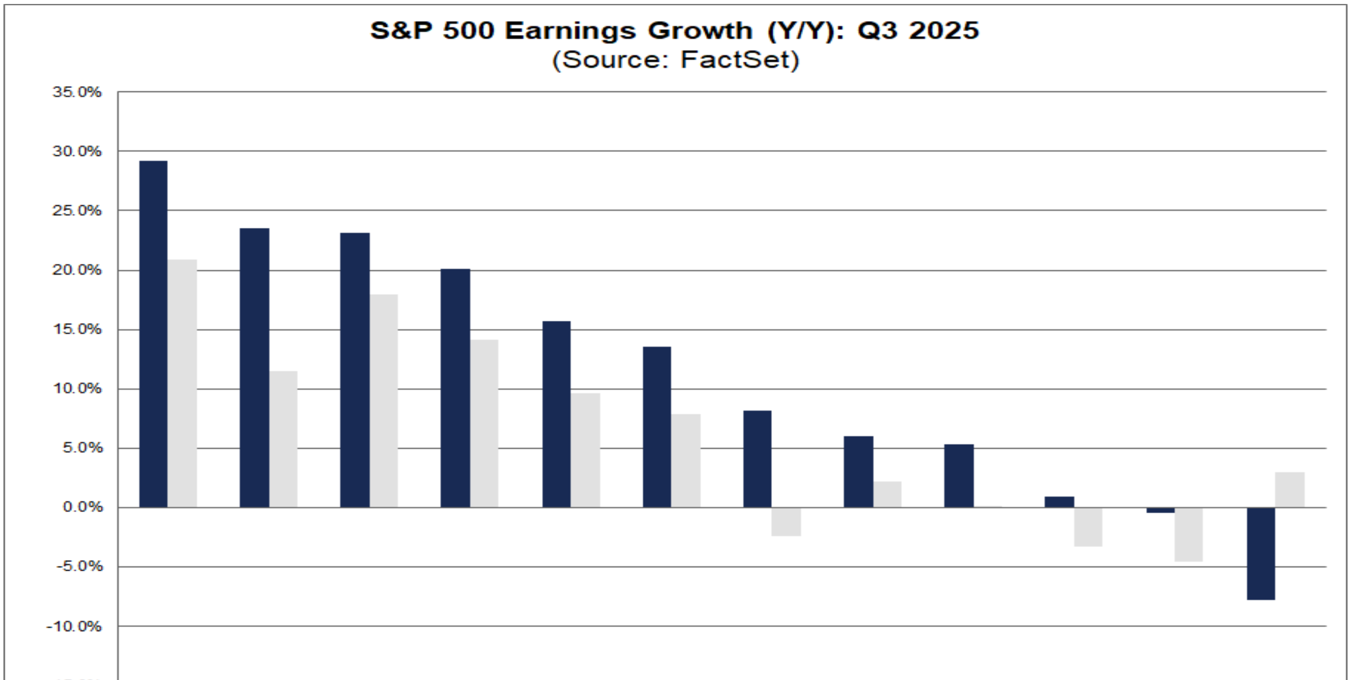


Q3 2025: Surprise

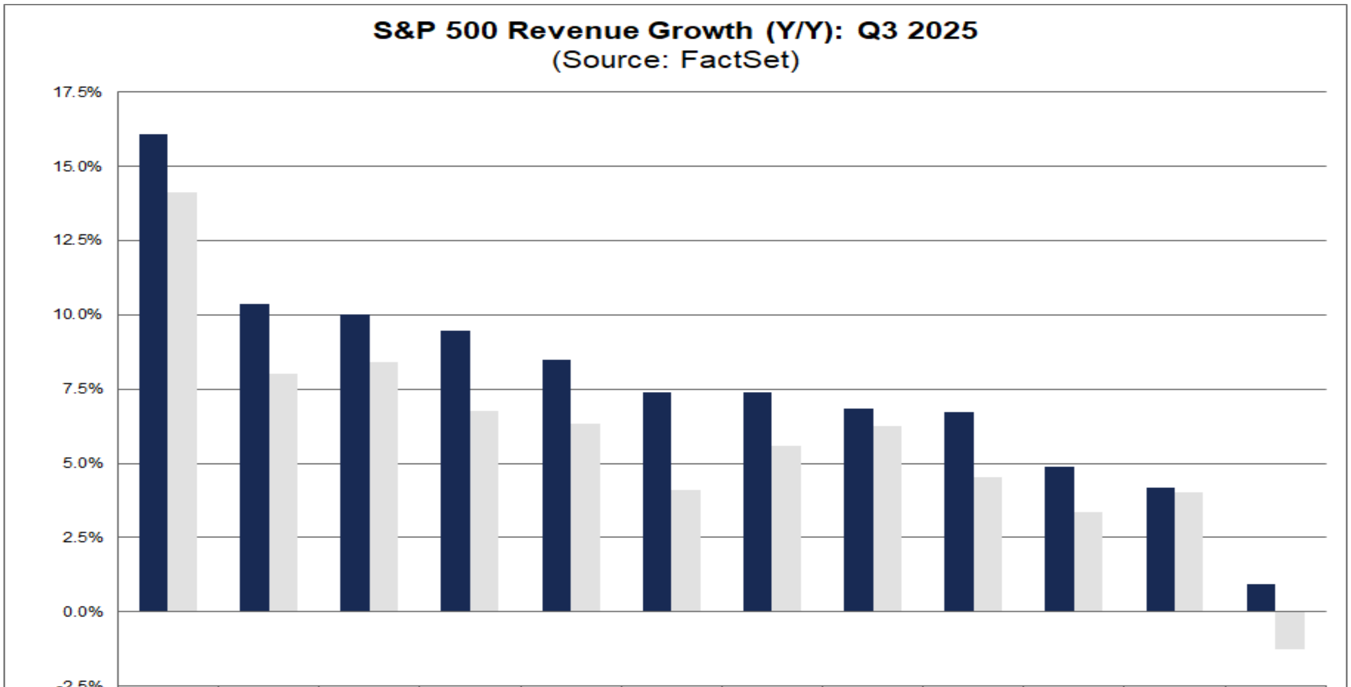




Q3 2025: Growth

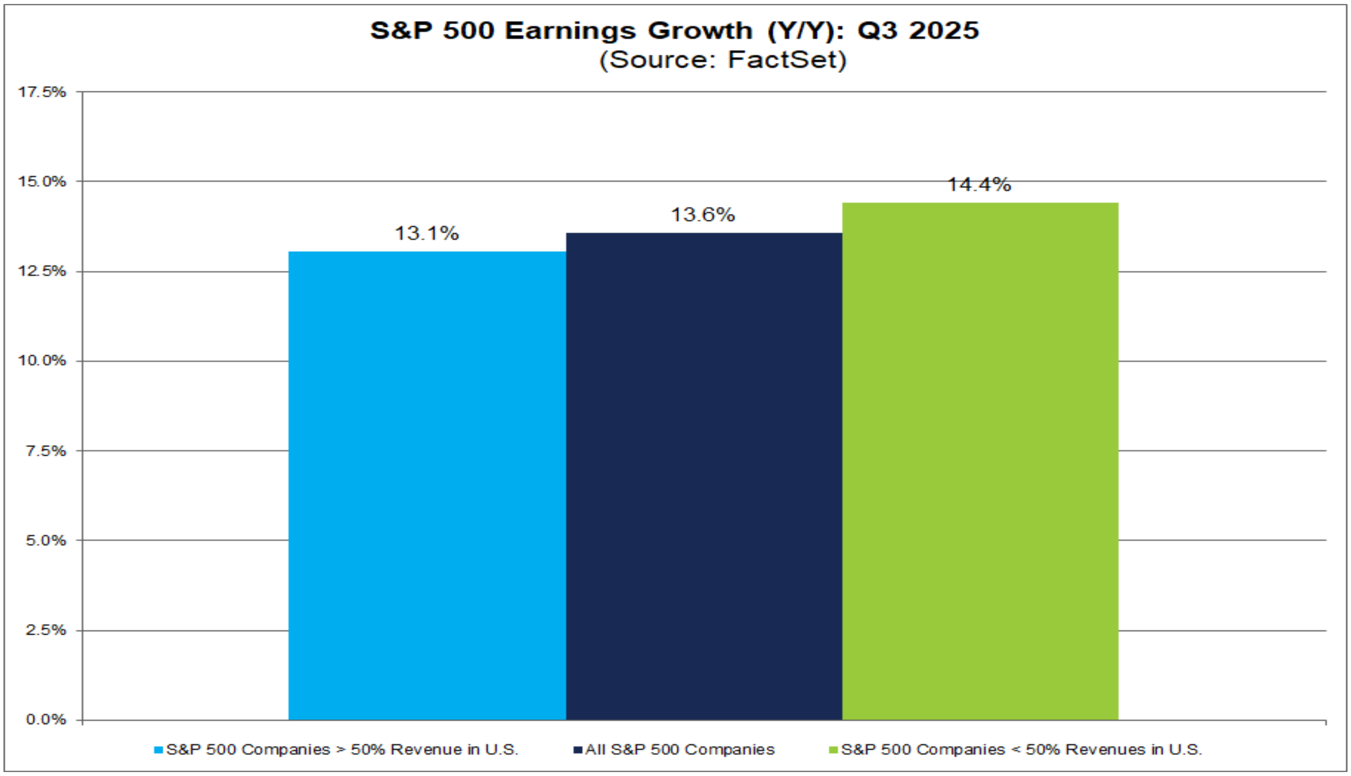


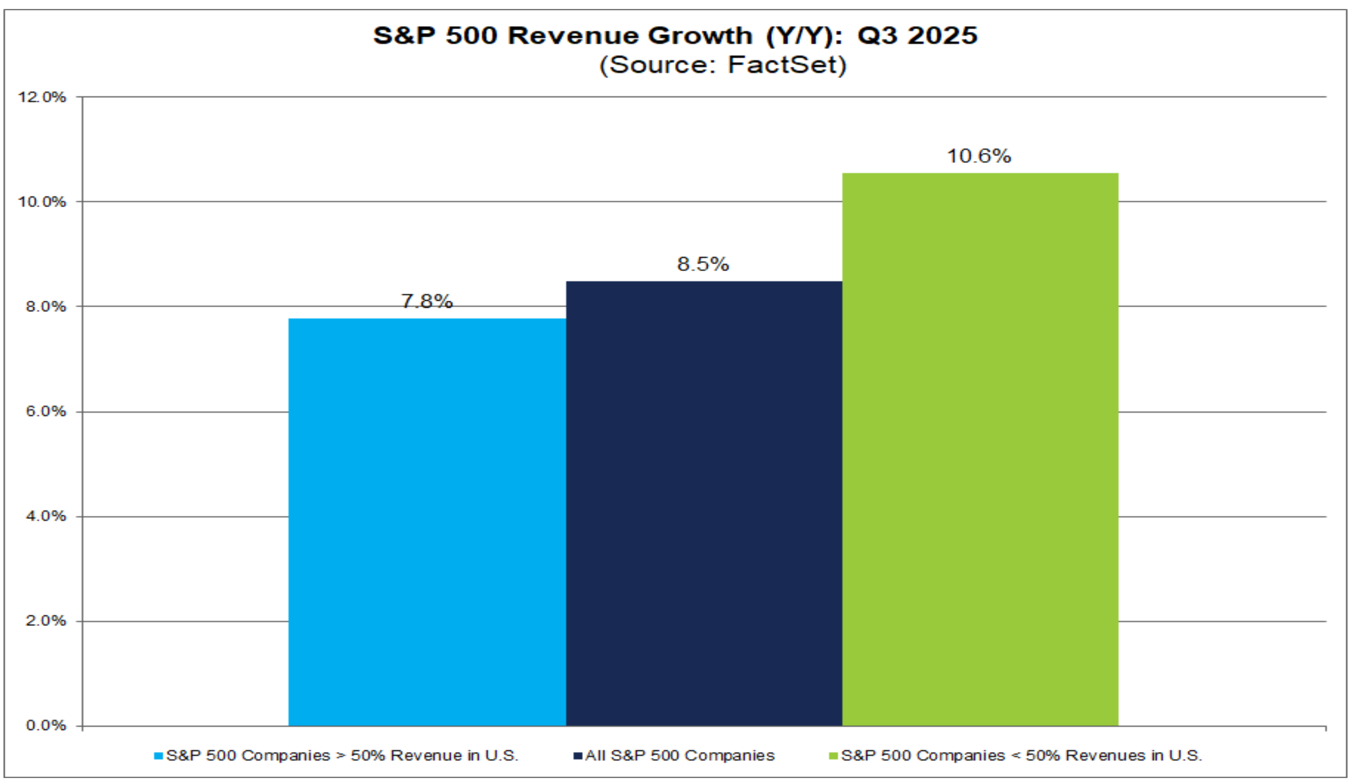
	Info. Technology	Financials	Utilities	Materials	Industrials	S&P 500	Consumer Disc.	Real Estate	Health Care	Consumer Staples	Energy	Comm. Services
Today	29.2%	23.5%	23.1%	20.1%	15.7%	13.6%	8.2%	6.0%	5.3%	0.9%	-0.4%	-7.8%
30-Sep	20.9%	11.5%	17.9%	14.1%	9.7%	7.9%	-2.4%	2.2%	0.2%	-3.3%	-4.6%	3.0%



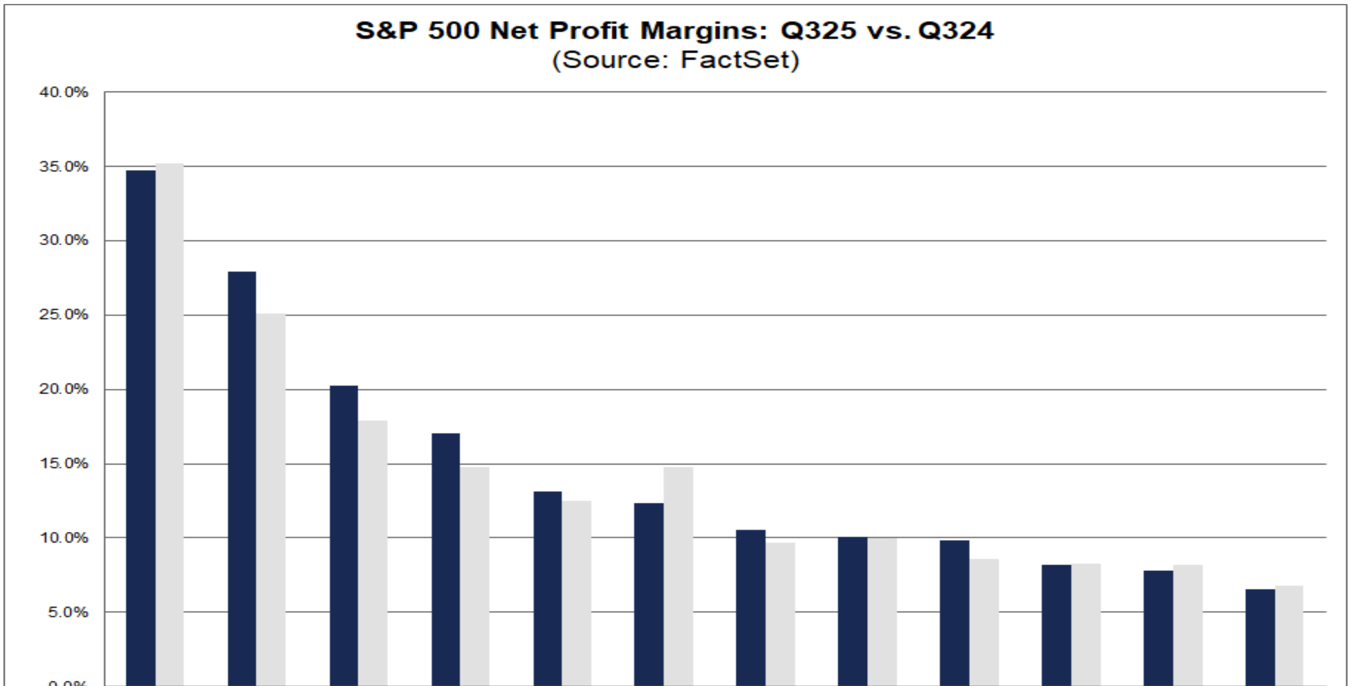
	Info. Technology	Health Care	Comm. Services	Financials	S&P 500	Consumer Disc.	Real Estate	Utilities	Industrials	Consumer Staples	Materials	Energy
Today	16.1%	10.4%	10.0%	9.5%	8.5%	7.4%	7.4%	6.8%	6.7%	4.9%	4.2%	0.9%
30-Sep	14.1%	8.0%	8.4%	6.8%	6.3%	4.1%	5.6%	6.3%	4.5%	3.3%	4.0%	-1.3%

Q3 2025: Growth

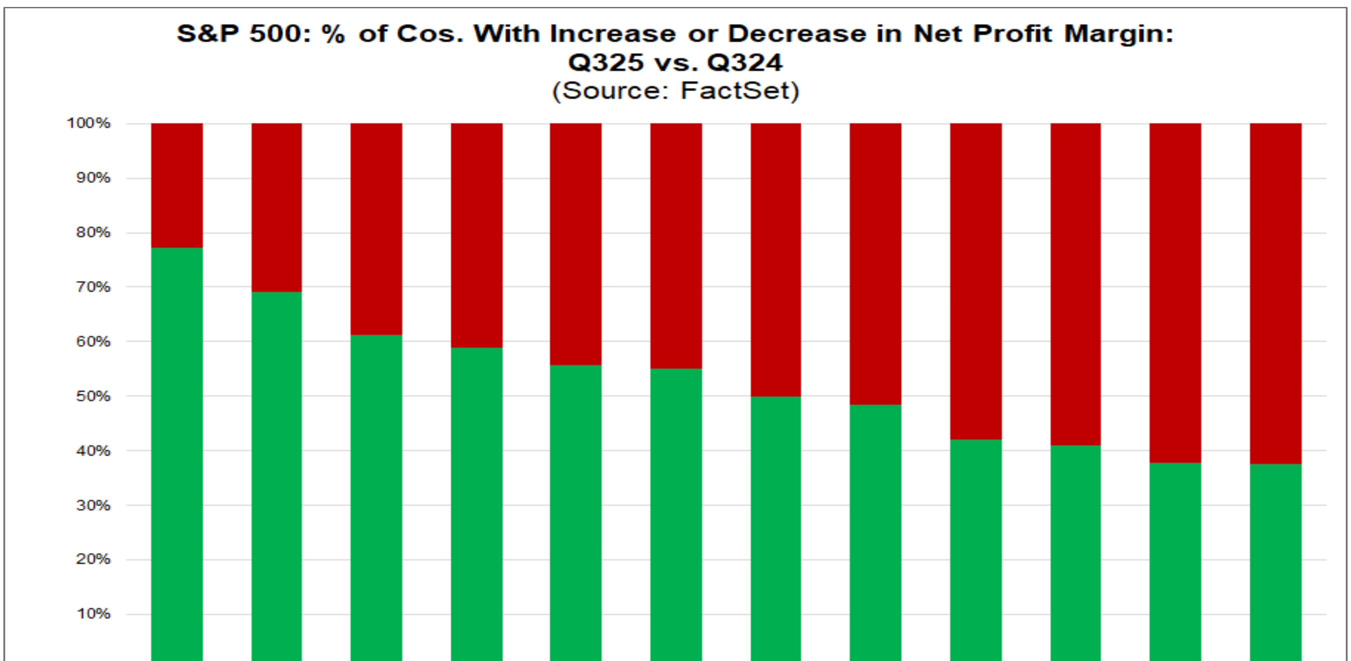




Q3 2025: Net Profit Margin

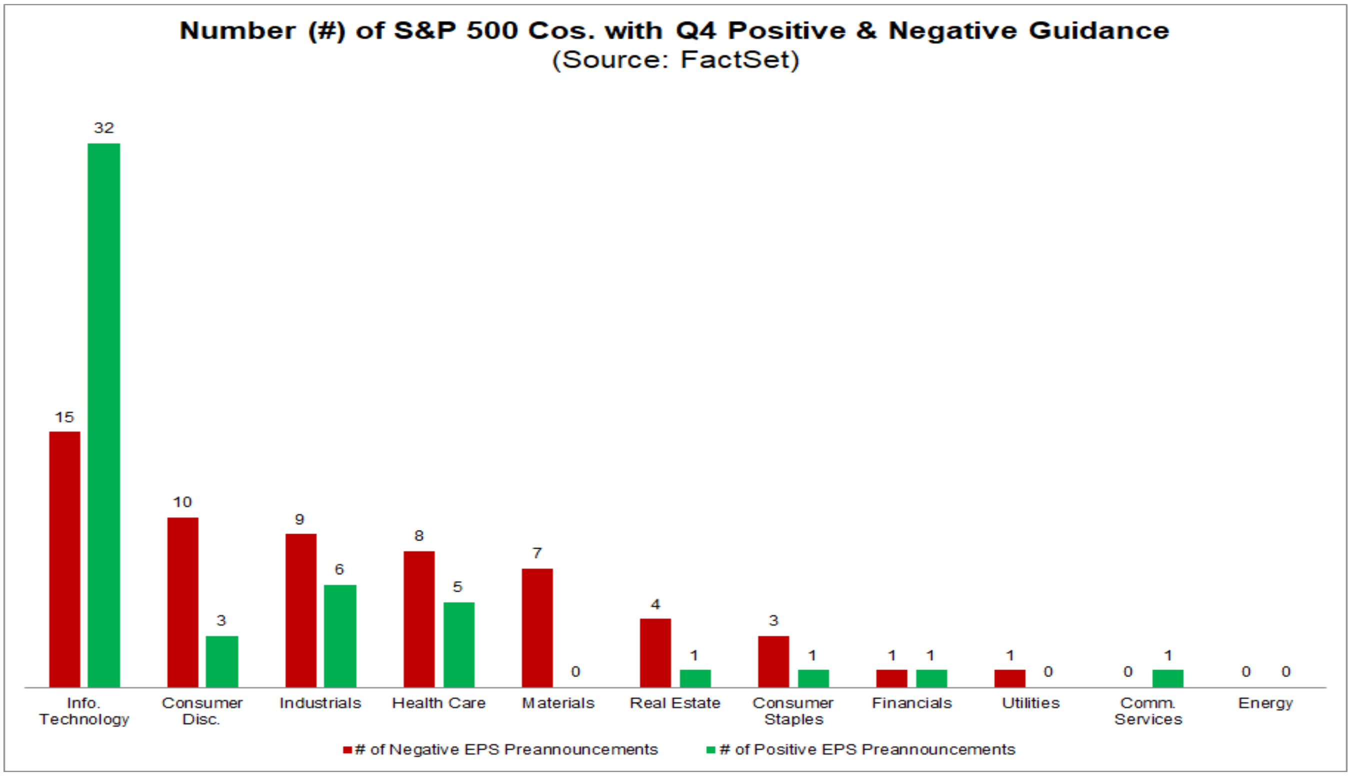


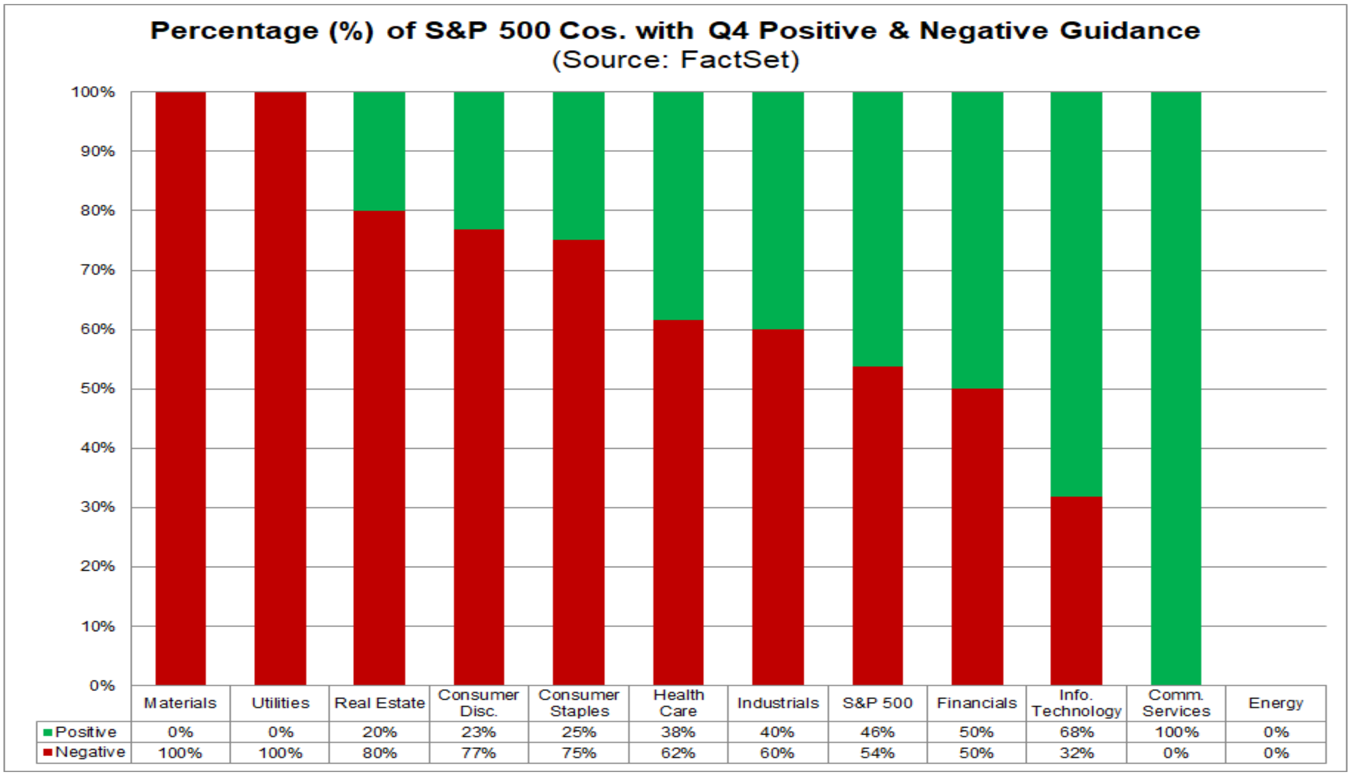
	Real Estate	Information Tech.	Financials	Utilities	S&P 500	Comm. Services	Industrials	Consumer Disc.	Materials	Energy	Health Care	Consumer Staples
Q325	34.8%	28.0%	20.2%	17.1%	13.1%	12.4%	10.5%	10.1%	9.9%	8.2%	7.8%	6.5%
Q324	35.2%	25.1%	17.9%	14.8%	12.5%	14.8%	9.7%	10.0%	8.5%	8.3%	8.2%	6.8%



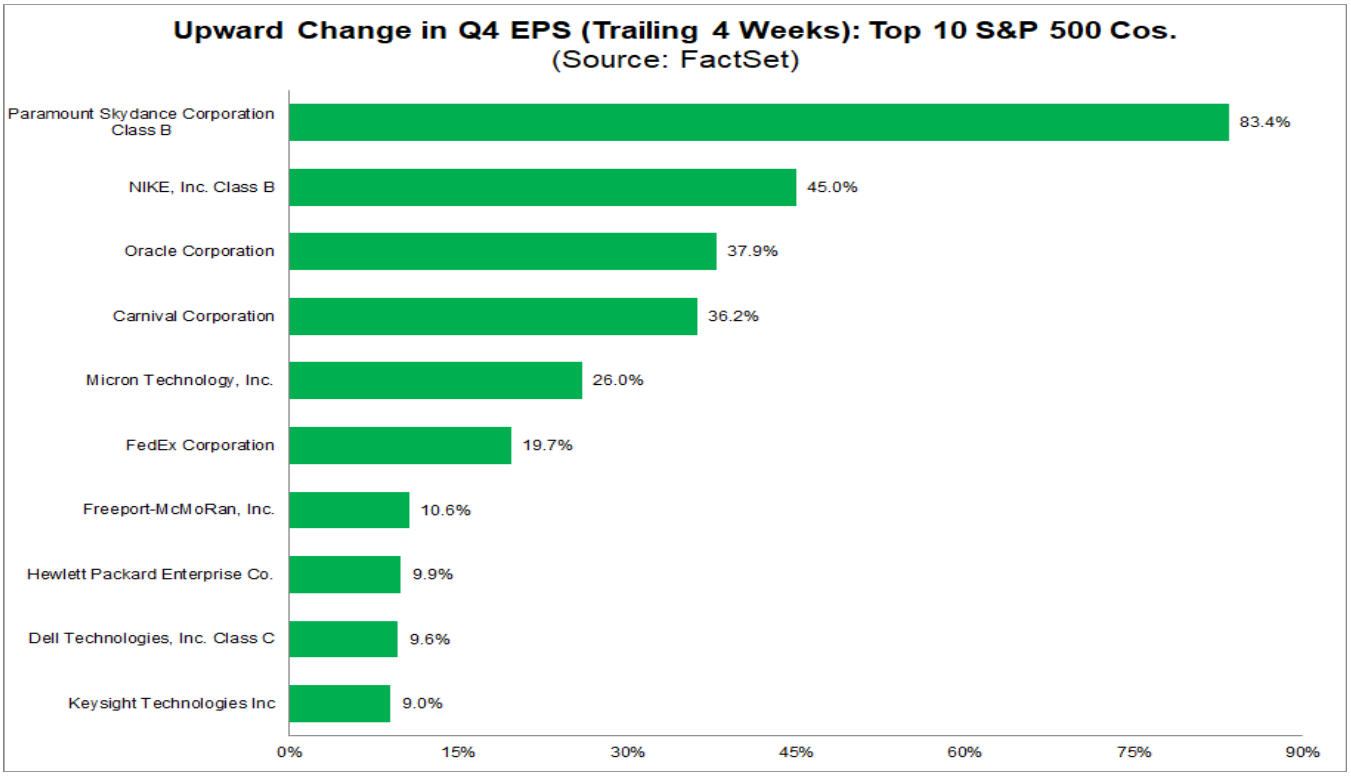
	Financials	Materials	Utilities	Information Tech.	Industrials	S&P 500	Health Care	Real Estate	Consumer Disc.	Energy	Consumer Staples	Comm. Services
Down %	23%	31%	39%	41%	44%	45%	50%	52%	58%	59%	62%	63%
None %	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%
Up %	77%	69%	61%	59%	56%	55%	50%	48%	42%	41%	38%	38%

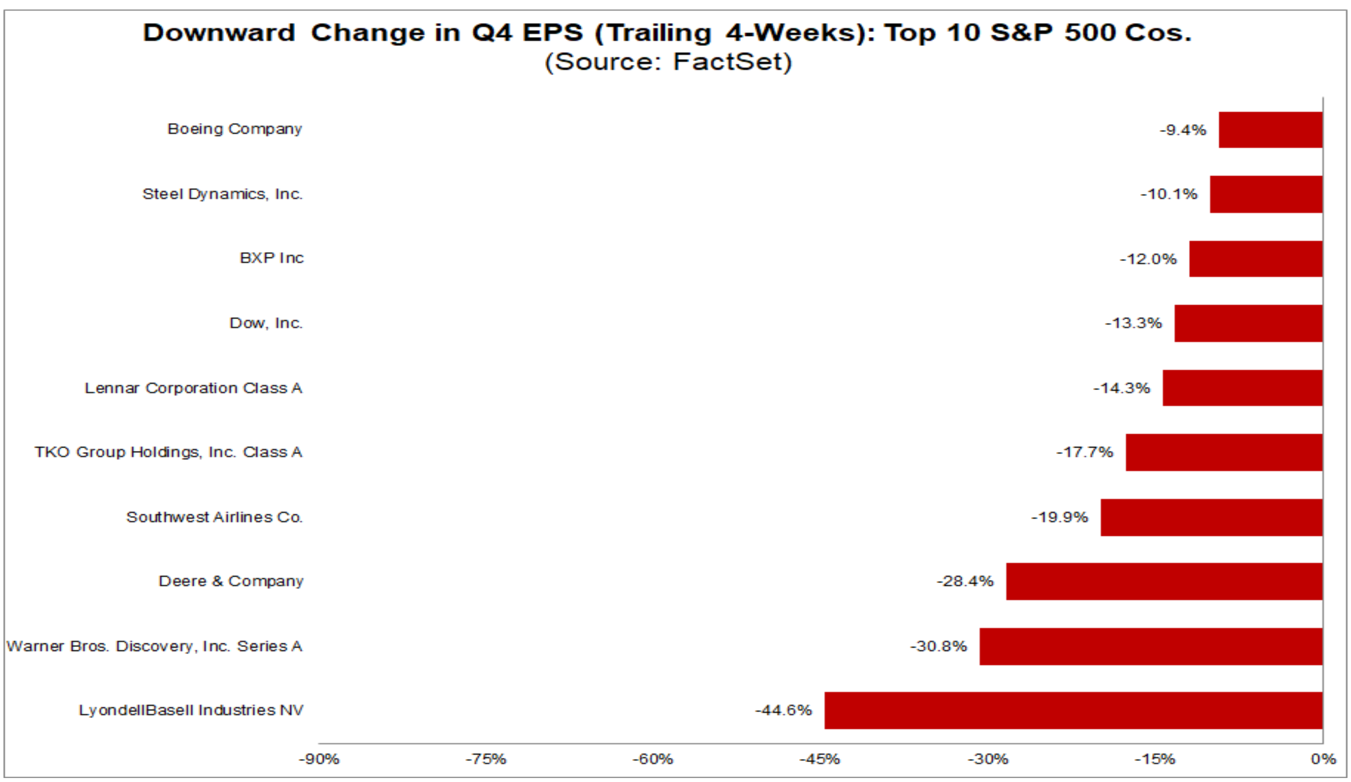
Q4 2025: Guidance



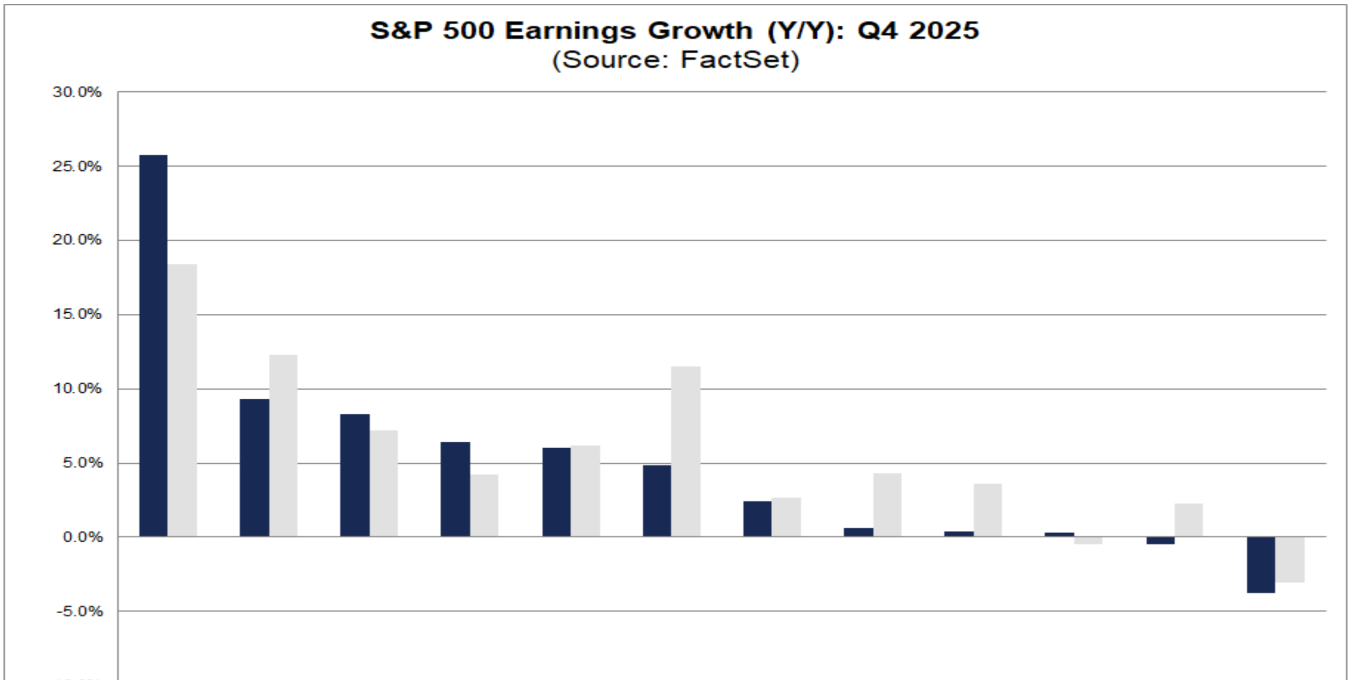


Q4 2025: EPS Revisions

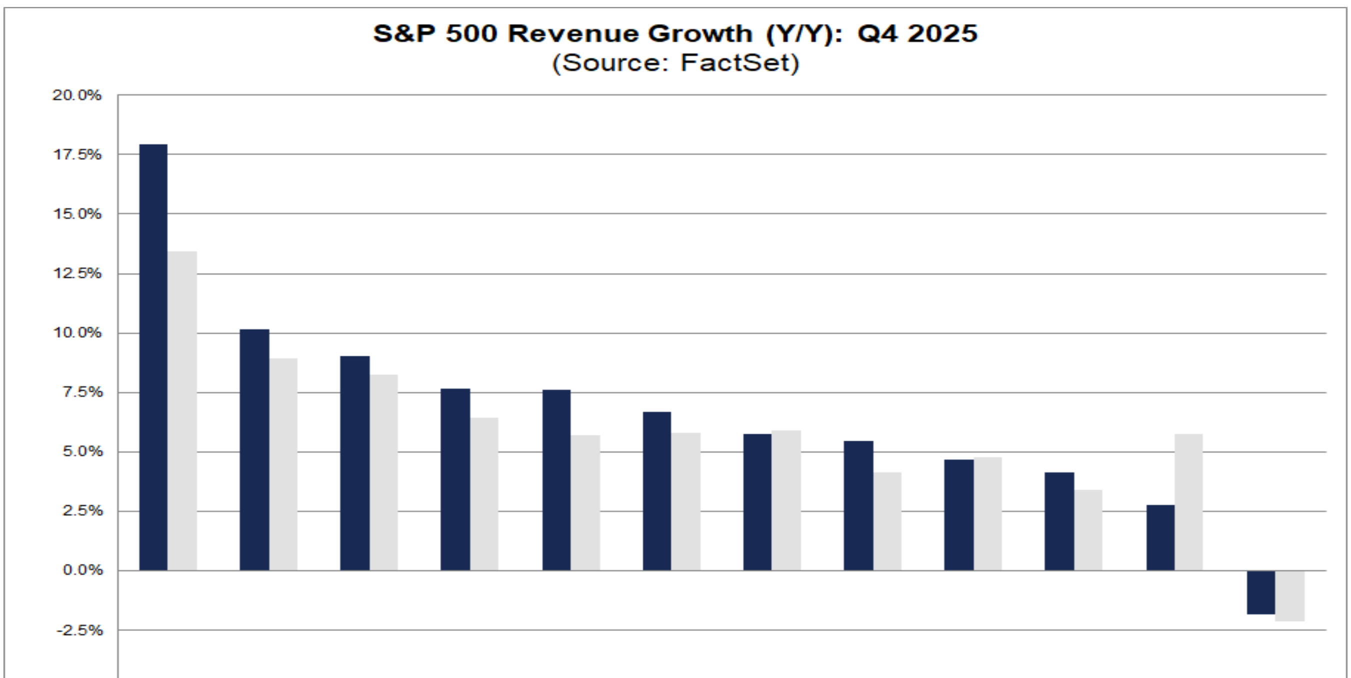




Q4 2025: Growth

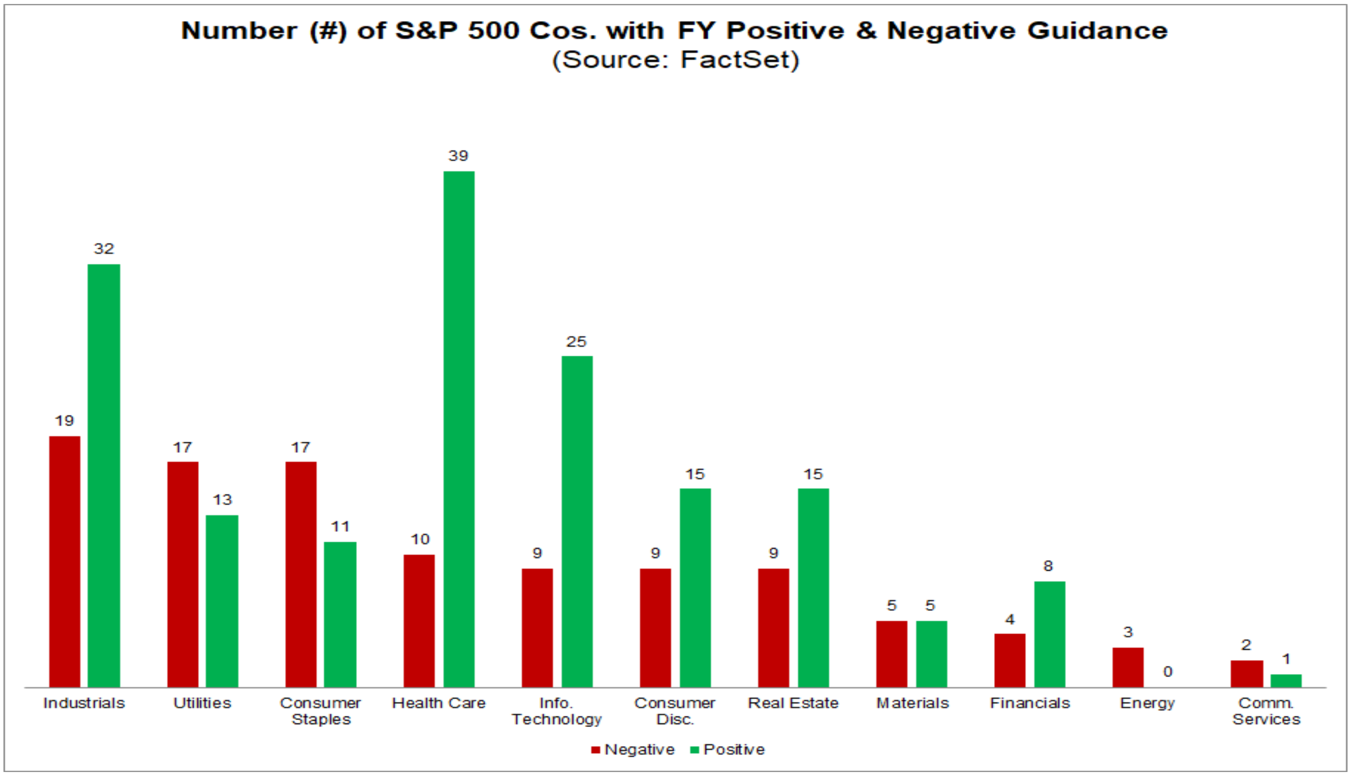


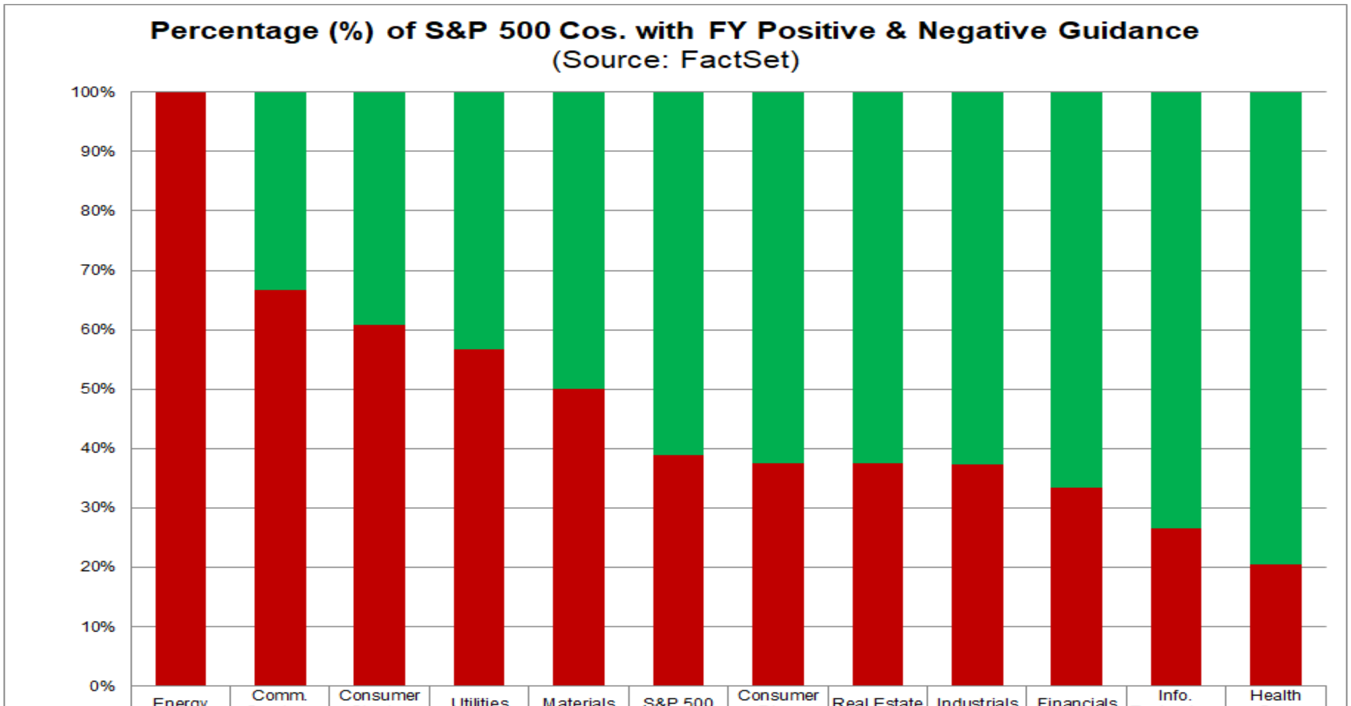
	Info. Technology	Materials	S&P 500	Financials	Comm. Services	Utilities	Real Estate	Consumer Staples	Health Care	Energy	Industrials	Consumer Disc.
Today	25.7%	9.3%	8.3%	6.4%	6.1%	4.8%	2.4%	0.6%	0.4%	0.3%	-0.5%	-3.7%
30-Sep	18.4%	12.3%	7.2%	4.3%	6.2%	11.5%	2.7%	4.3%	3.6%	-0.5%	2.3%	-3.1%



	Info. Technology	Comm. Services	Health Care	S&P 500	Financials	Real Estate	Industrials	Consumer Staples	Utilities	Consumer Disc.	Materials	Energy
Today	17.9%	10.2%	9.0%	7.6%	7.6%	6.7%	5.8%	5.4%	4.7%	4.1%	2.8%	-1.9%
30-Sep	13.4%	8.9%	8.2%	6.4%	5.7%	5.8%	5.9%	4.1%	4.8%	3.4%	5.7%	-2.1%

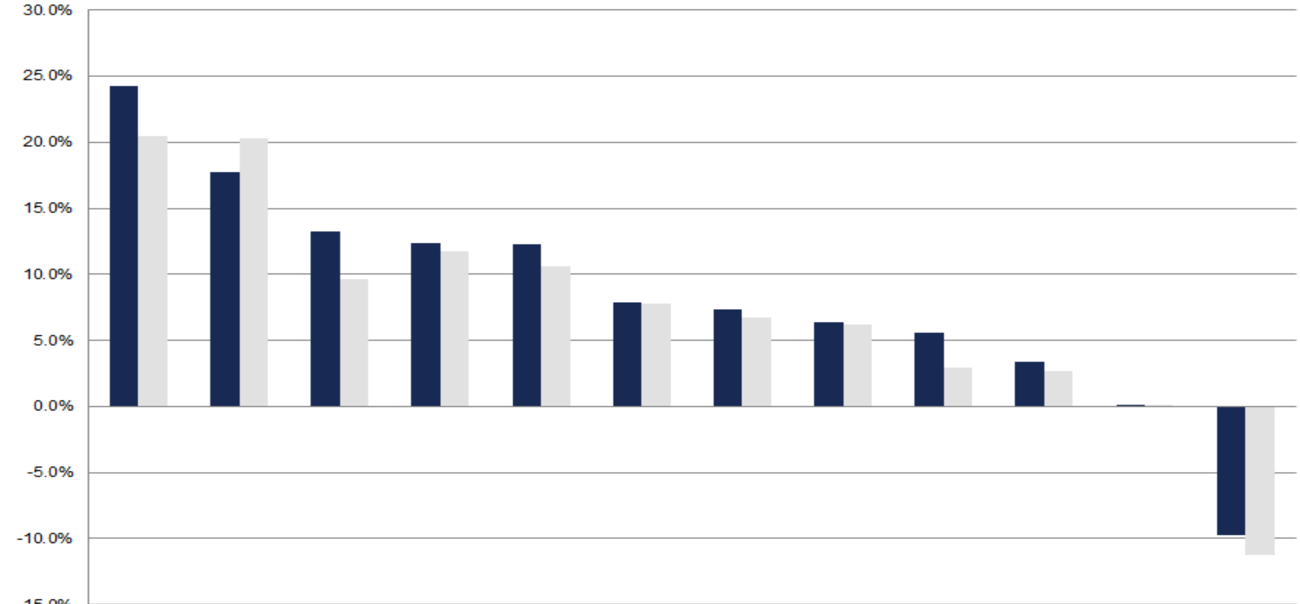
FY 2025 / 2026: EPS Guidance



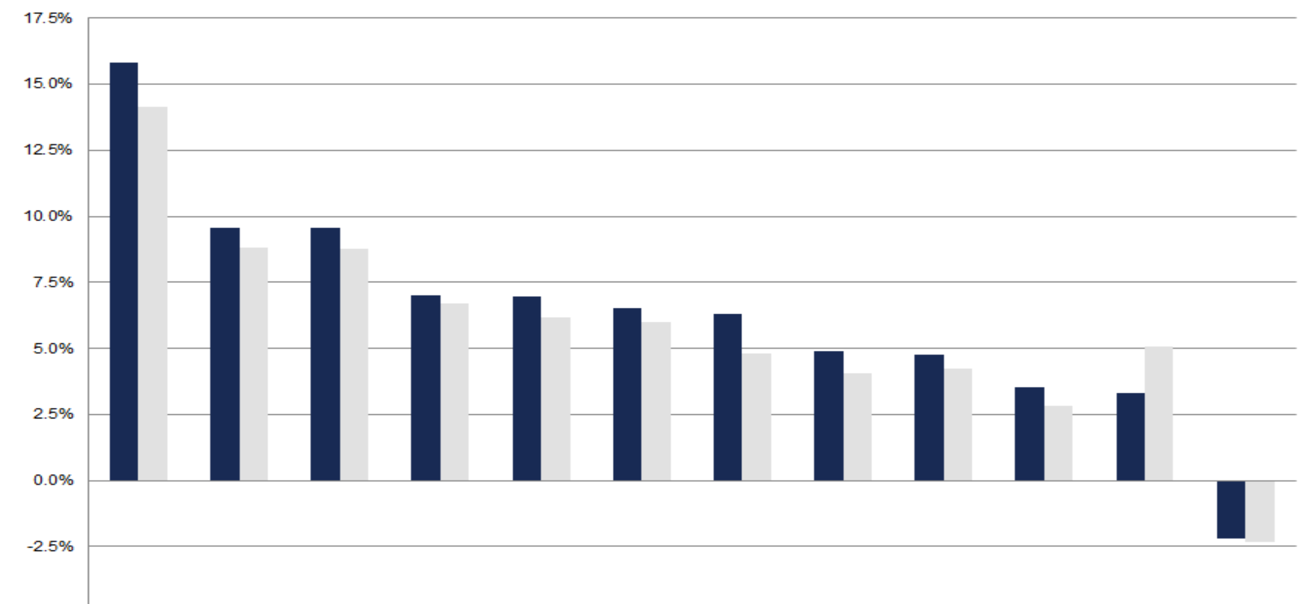


	Energy	Comm. Services	Consumer Staples	Utilities	Materials	S&P 500	Consumer Disc.	Real Estate	Industrials	Financials	Info. Technology	Health Care
Positive	0%	33%	39%	43%	50%	61%	63%	63%	63%	67%	74%	80%
Negative	100%	67%	61%	57%	50%	39%	38%	38%	37%	33%	26%	20%

CY 2025: Growth

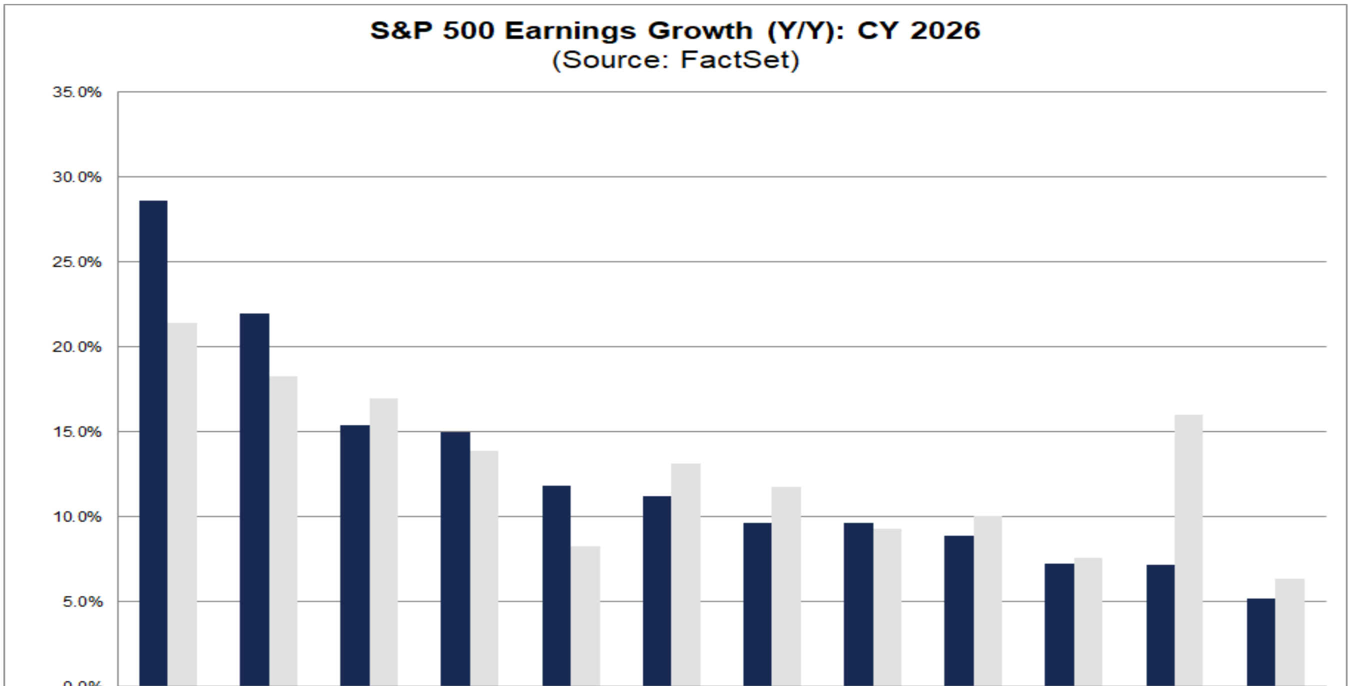


	Info. Technology	Comm. Services	Financials	Health Care	S&P 500	Utilities	Industrials	Materials	Consumer Disc.	Real Estate	Consumer Staples	Energy
Today	24.3%	17.7%	13.2%	12.3%	12.3%	7.9%	7.3%	6.3%	5.6%	3.4%	0.1%	-9.7%
30-Sep	20.5%	20.3%	9.6%	11.8%	10.6%	7.8%	6.7%	6.2%	3.0%	2.7%	0.1%	-11.3%

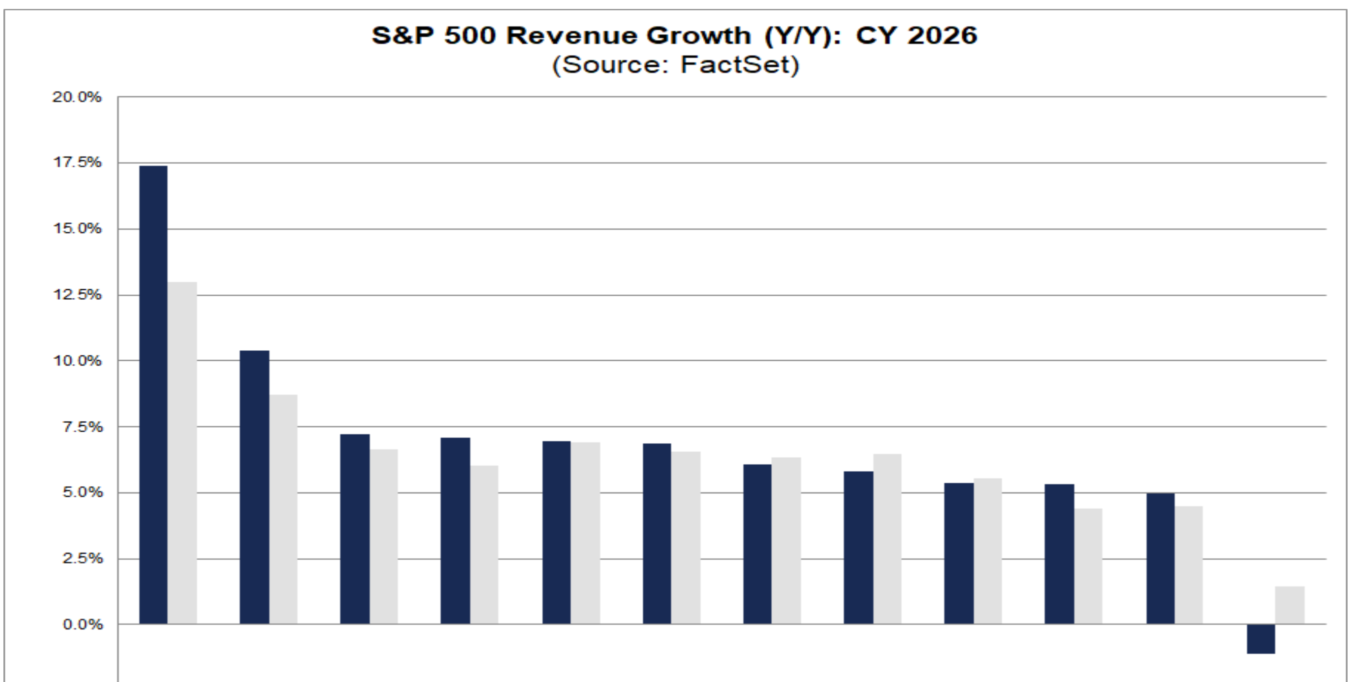


	Info. Technology	Comm. Services	Health Care	Utilities	S&P 500	Real Estate	Financials	Consumer Disc.	Industrials	Consumer Staples	Materials	Energy
Today	15.8%	9.6%	9.6%	7.0%	7.0%	6.5%	6.3%	4.9%	4.7%	3.5%	3.3%	-2.2%
30-Sep	14.1%	8.8%	8.8%	6.7%	6.2%	6.0%	4.8%	4.0%	4.3%	2.8%	5.1%	-2.3%

CY 2026: Growth



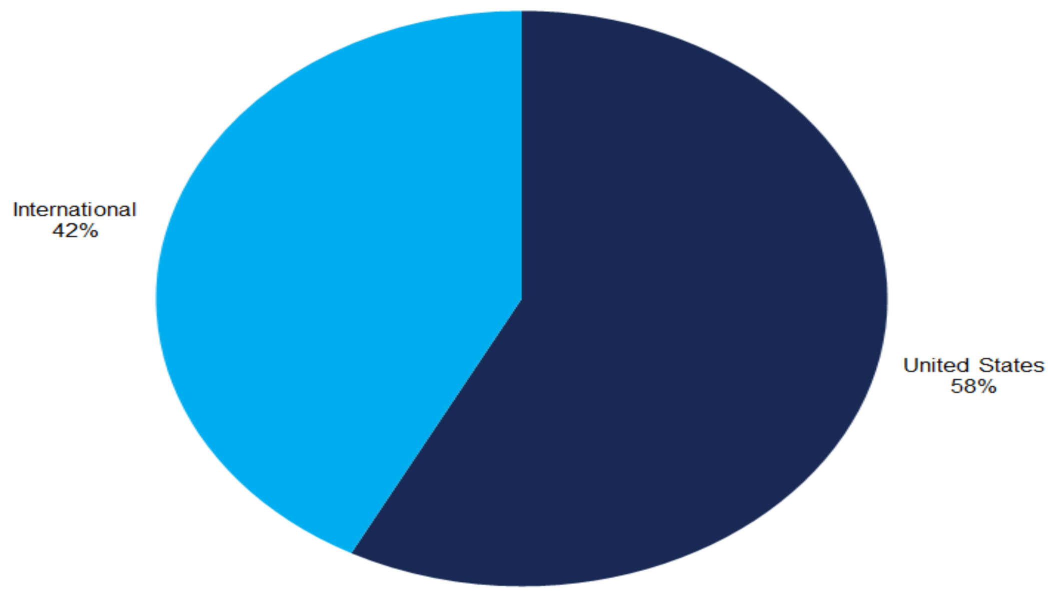
	Info. Technology	Materials	Industrials	S&P 500	Comm. Services	Consumer Disc.	Financials	Utilities	Health Care	Consumer Staples	Energy	Real Estate
Today	28.6%	22.0%	15.4%	15.0%	11.8%	11.2%	9.6%	9.6%	8.9%	7.3%	7.2%	5.2%
30-Sep	21.4%	18.2%	17.0%	13.9%	8.2%	13.1%	11.8%	9.3%	10.1%	7.6%	16.0%	6.4%



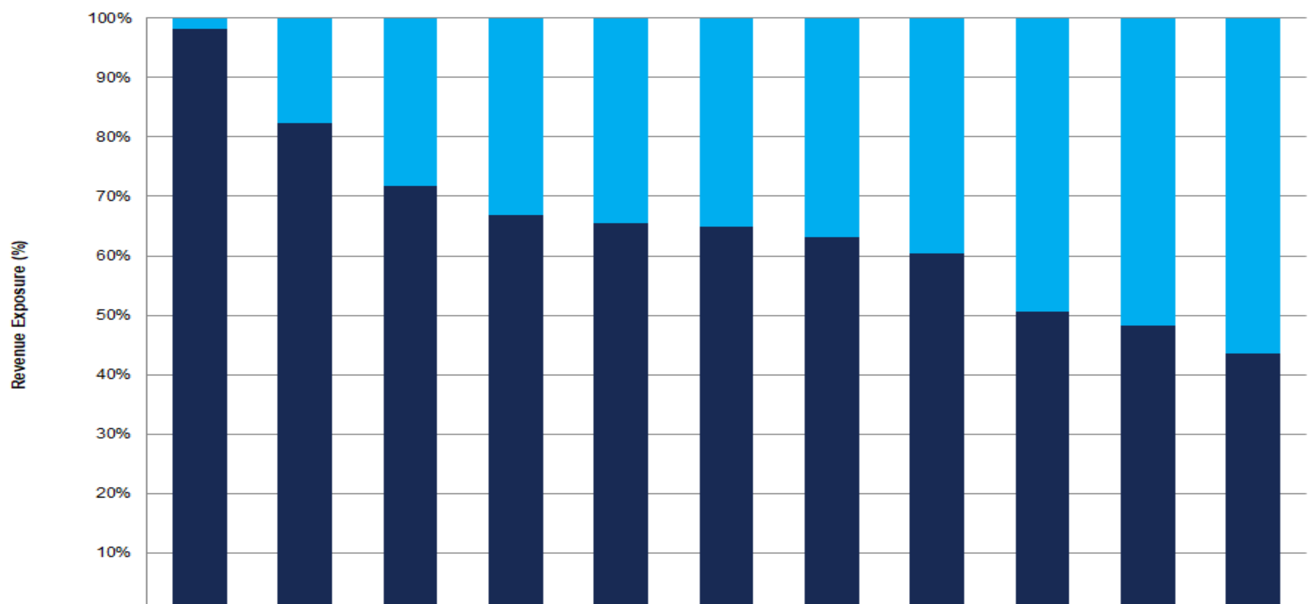
	Info. Technology	Comm. Services	S&P 500	Utilities	Real Estate	Consumer Disc.	Industrials	Financials	Health Care	Consumer Staples	Materials	Energy
Today	17.4%	10.4%	7.2%	7.1%	7.0%	6.9%	6.1%	5.8%	5.4%	5.3%	5.0%	-1.1%
30-Sep	13.0%	8.7%	6.6%	6.0%	6.9%	6.5%	6.3%	6.5%	5.5%	4.4%	4.5%	1.5%

Geographic Revenue Exposure

S&P 500: Aggregate Geographic Revenue Exposure (%)
(Source: FactSet)

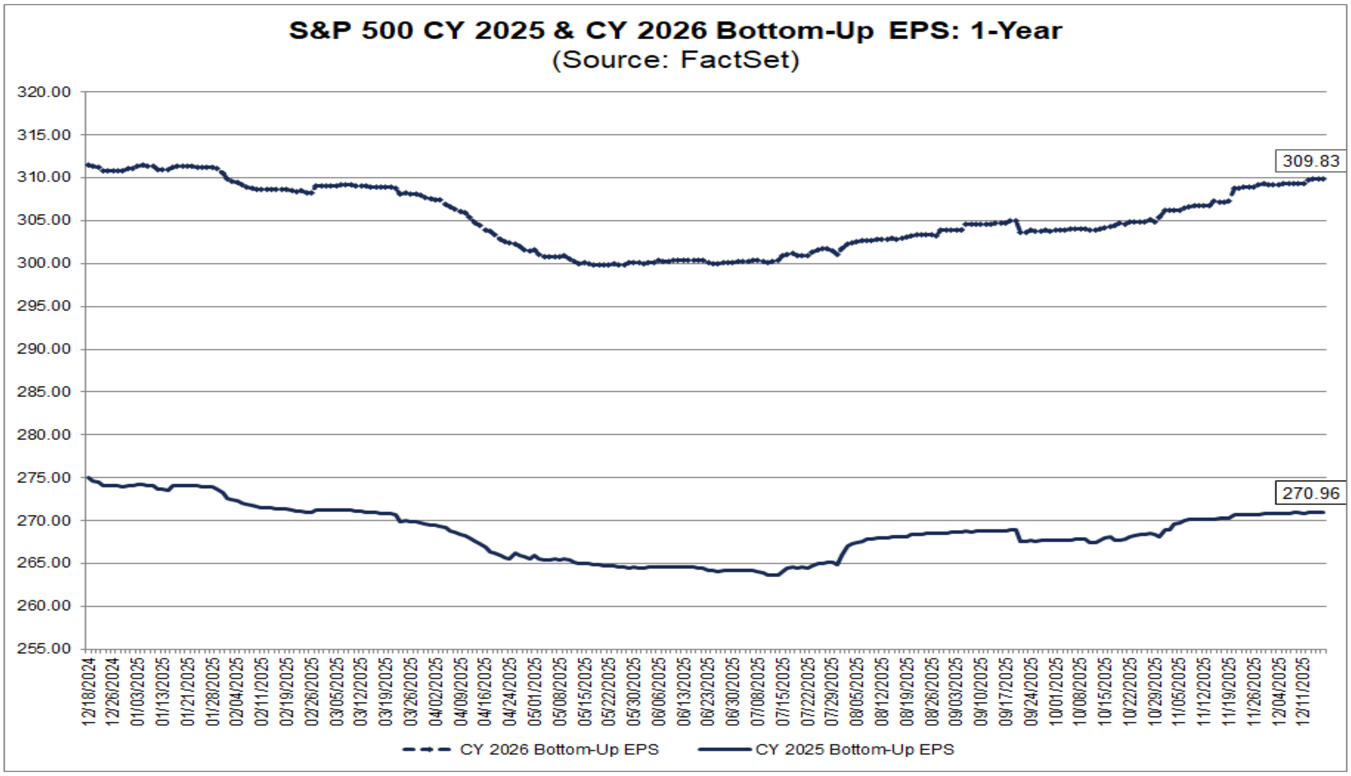


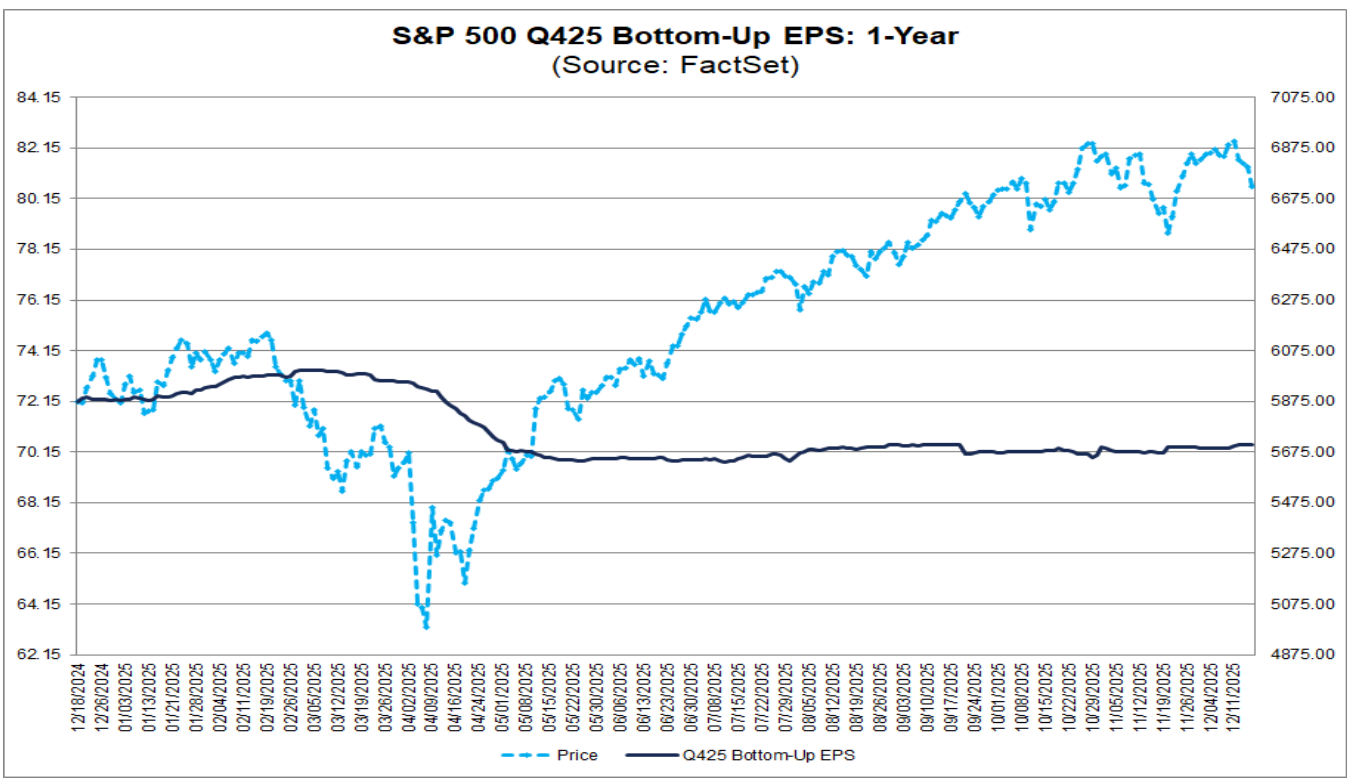
S&P 500: Aggregate Sector Geographic Revenue Exposure (%)
(Source: FactSet)



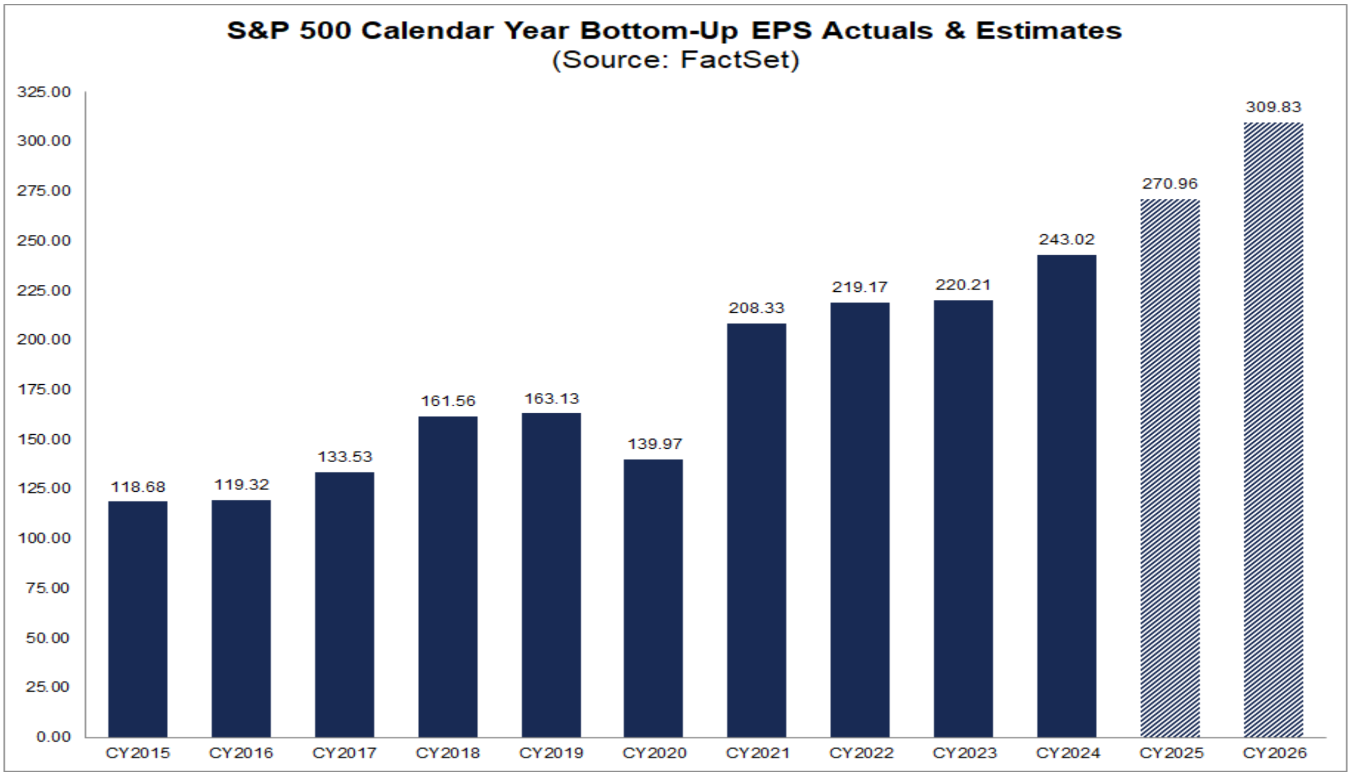
	Utilities	Real Estate	Financials	Health Care	Industrials	Consumer Disc.	Energy	Consumer Staples	Comm. Services	Materials	Info. Technology
International	2%	18%	28%	33%	35%	35%	37%	40%	49%	52%	56%
United States	98%	82%	72%	67%	65%	65%	63%	60%	51%	48%	44%

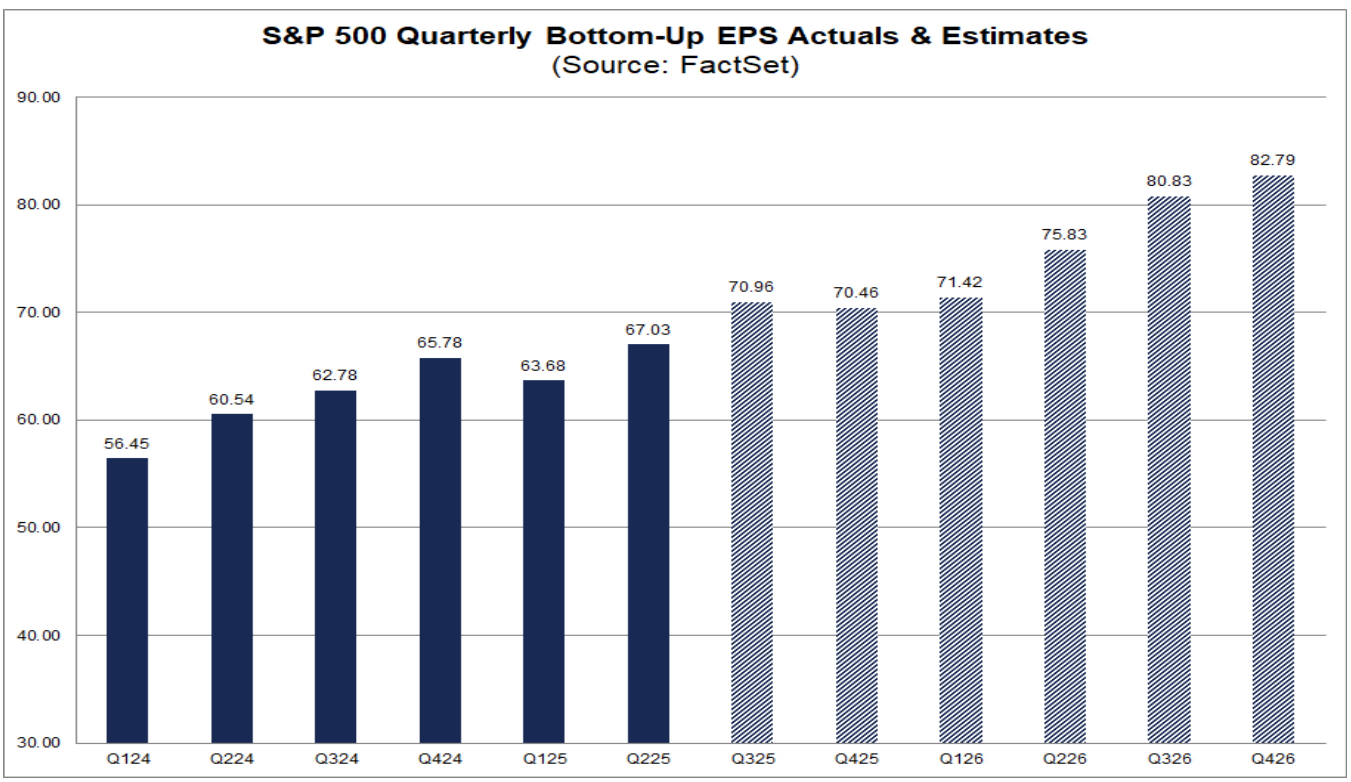
Bottom-Up EPS Estimates



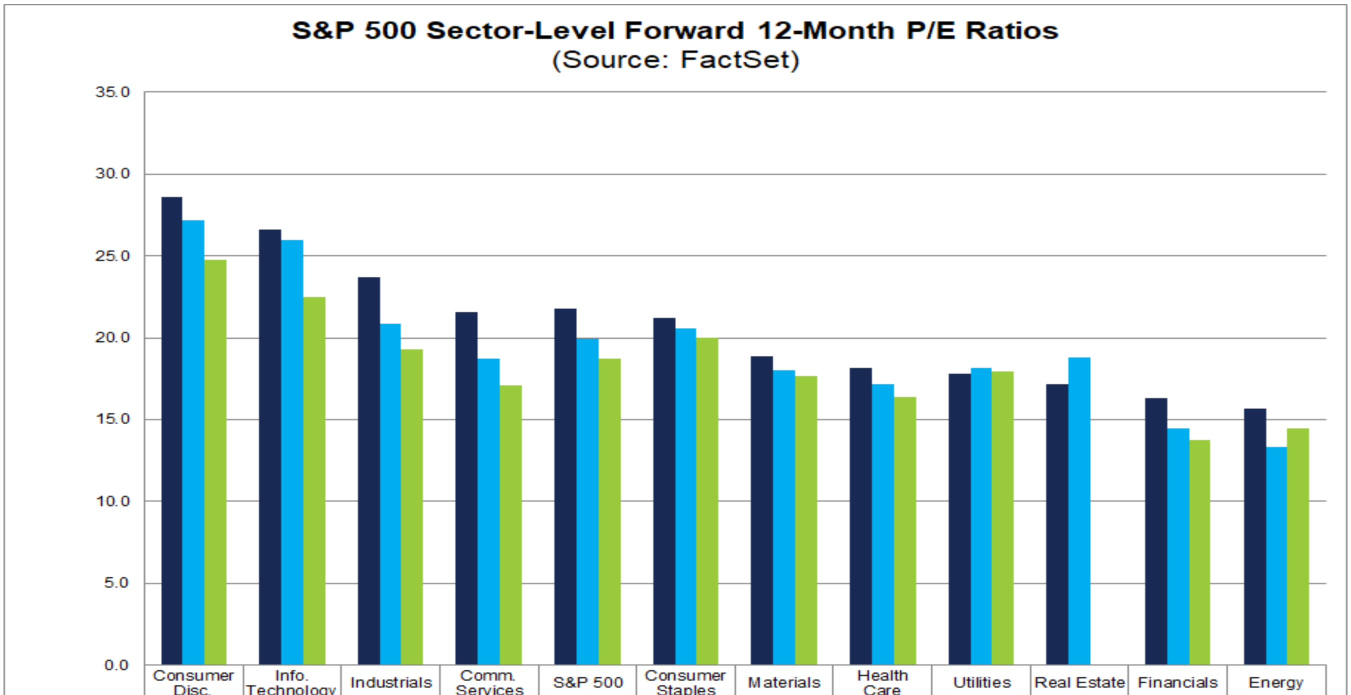


Bottom-Up EPS Estimates: Current & Historical

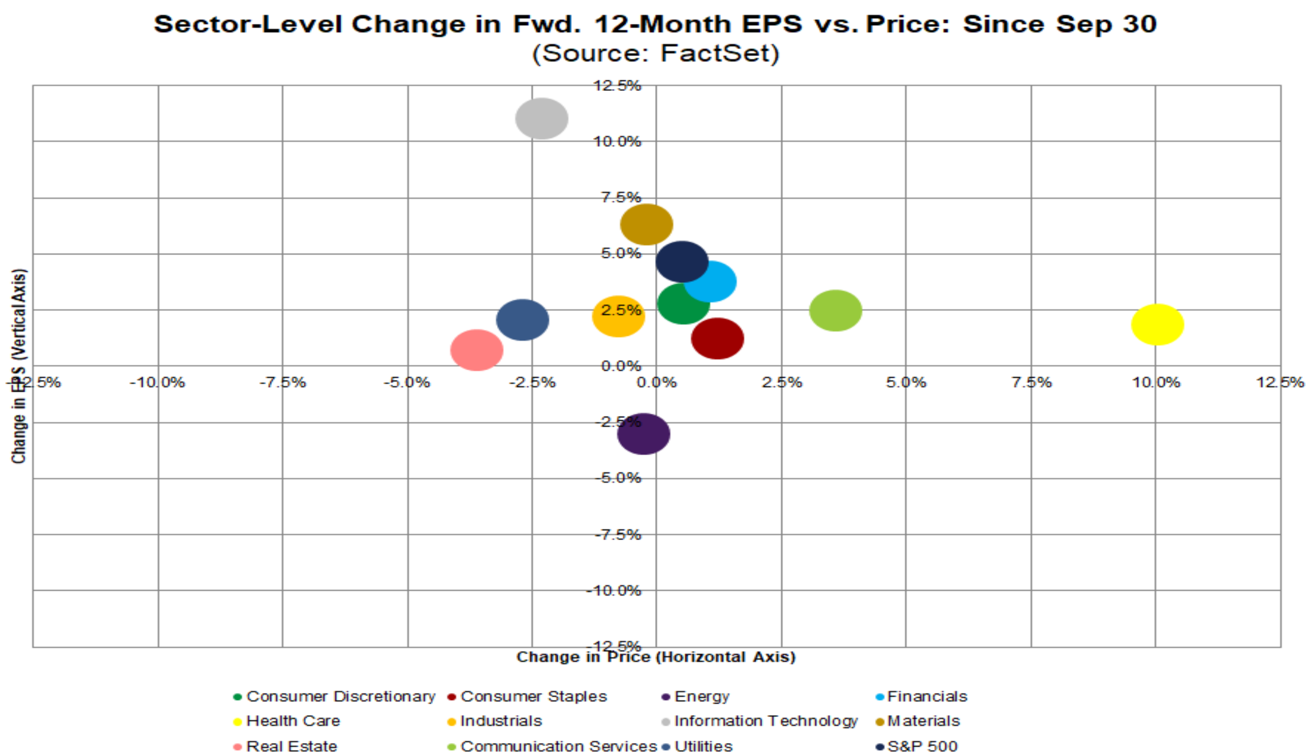




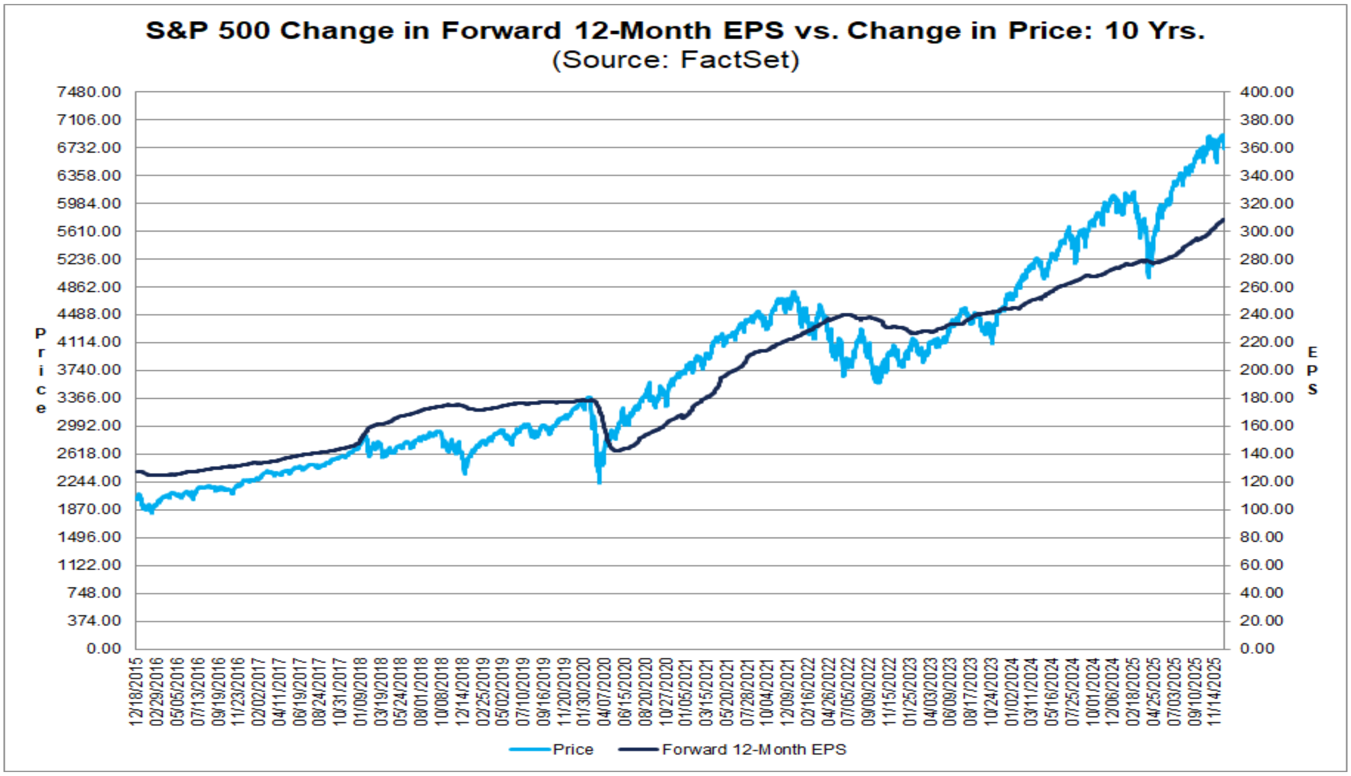
Forward 12M P/E Ratio: Sector Level

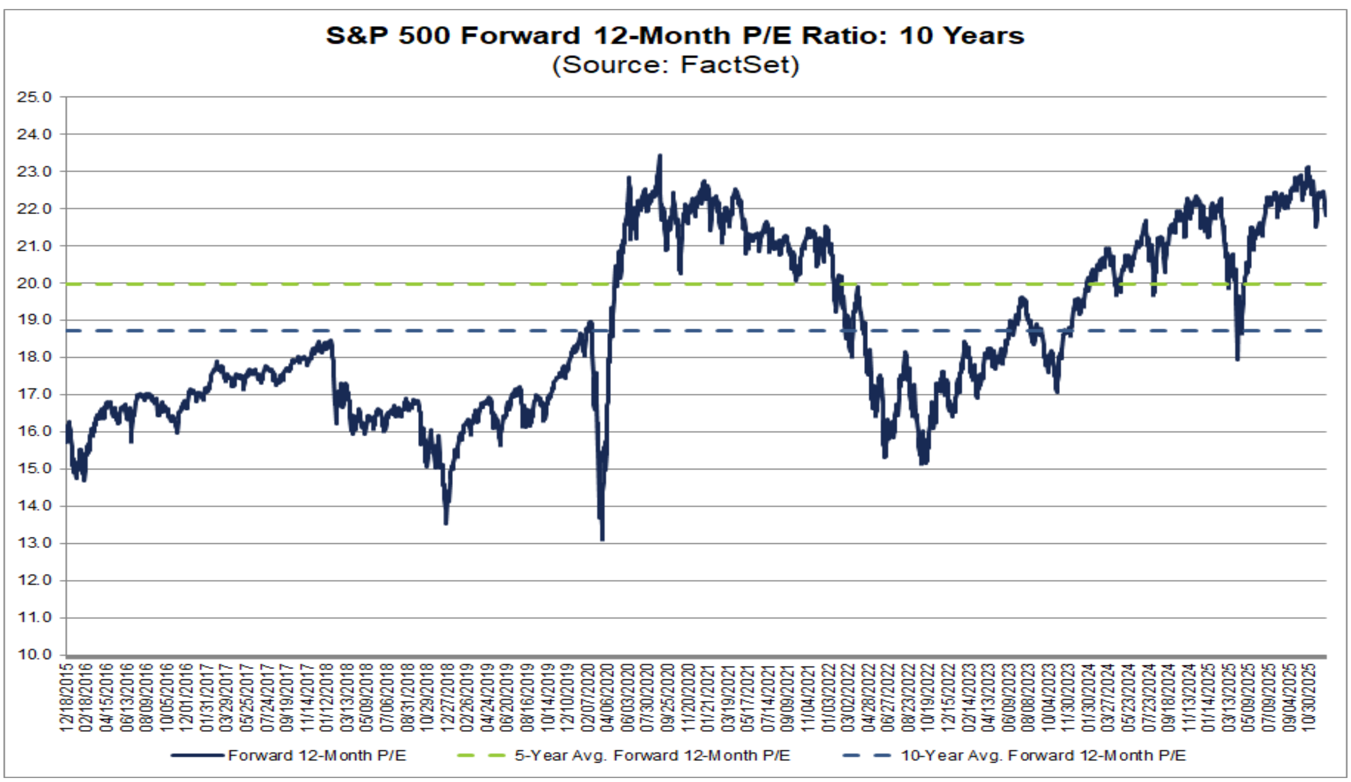


	Consumer Disc.	Info. Technology	Industrials	Comm. Services	S&P 500	Consumer Staples	Materials	Health Care	Utilities	Real Estate	Financials	Energy
Fwd P/E	28.6	26.6	23.7	21.6	21.8	21.2	18.8	18.1	17.8	17.2	16.3	15.7
5-Yr Avg.	27.1	26.0	20.9	18.7	20.0	20.6	18.0	17.2	18.2	18.8	14.5	13.3
10-Yr Avg.	24.8	22.5	19.3	17.1	18.7	20.0	17.7	16.4	18.0		13.7	14.5

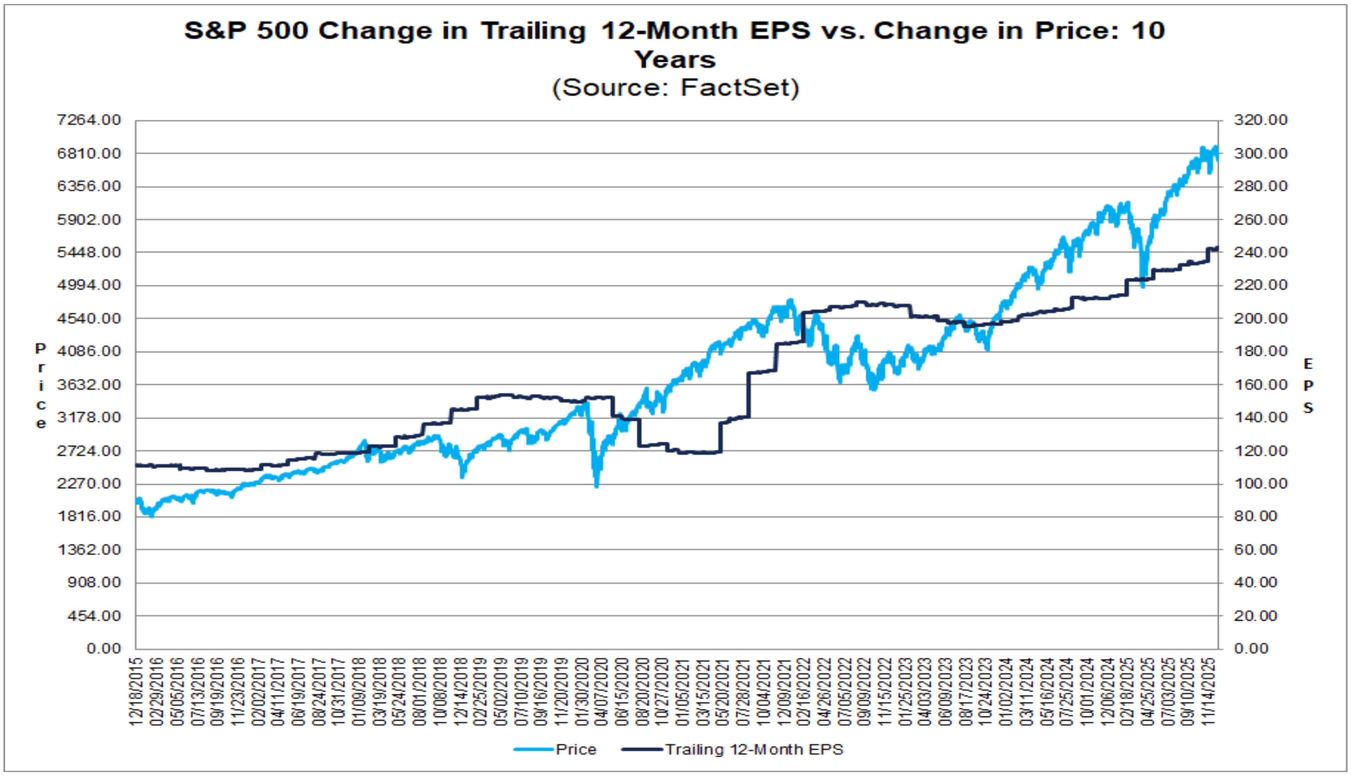


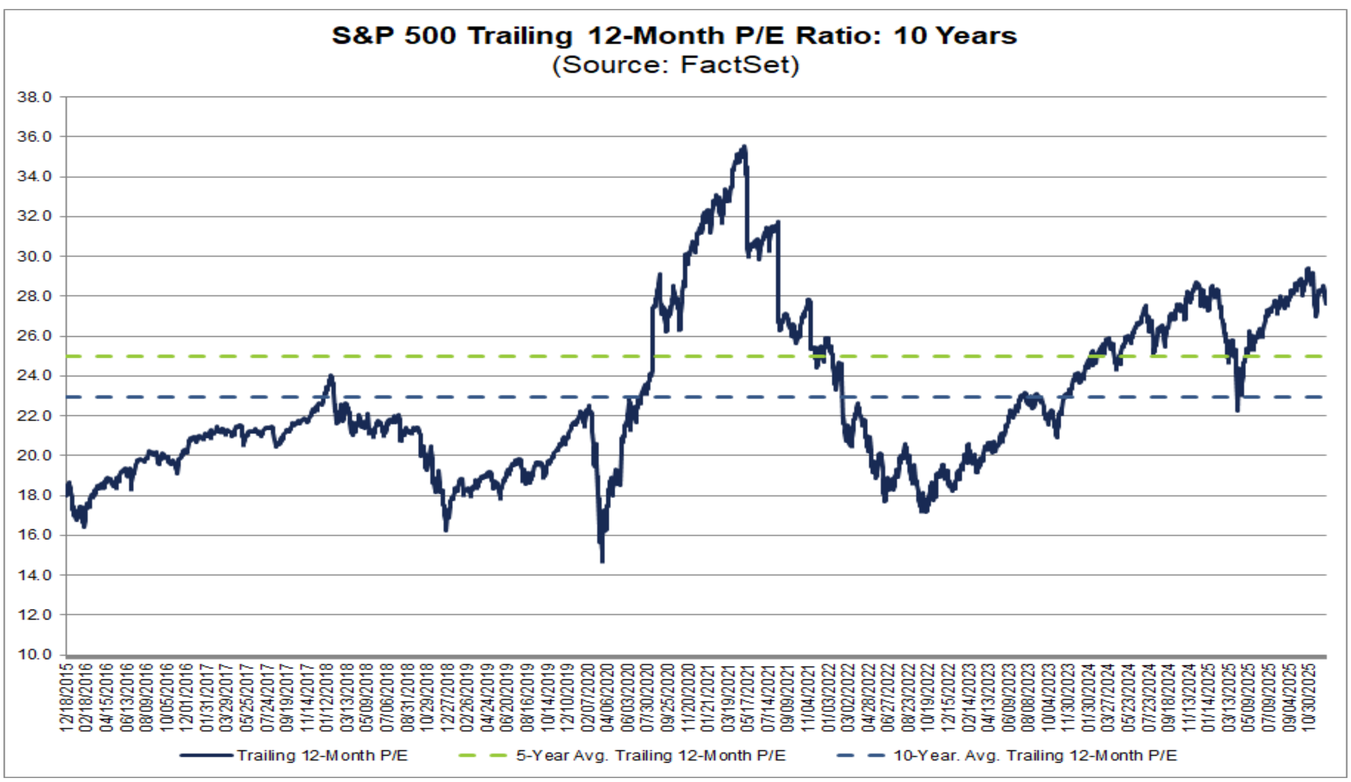
Forward 12M P/E Ratio: 10-Years



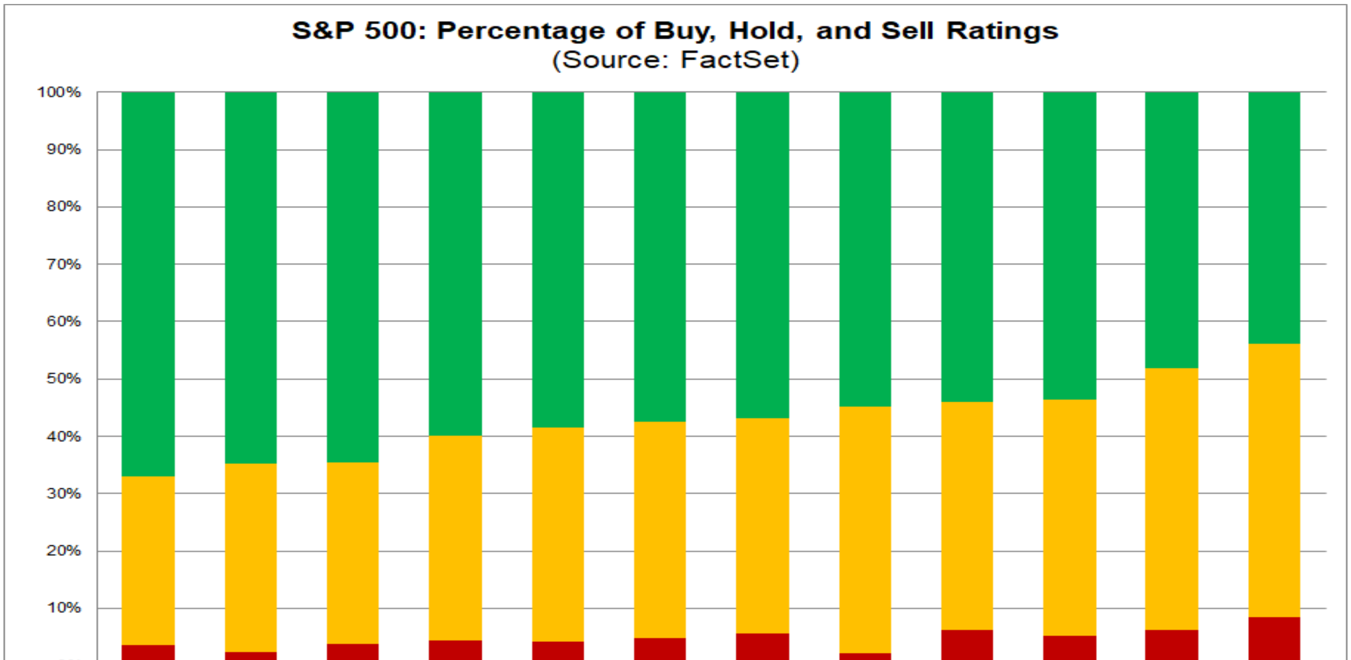


Trailing 12M P/E Ratio: 10-Years

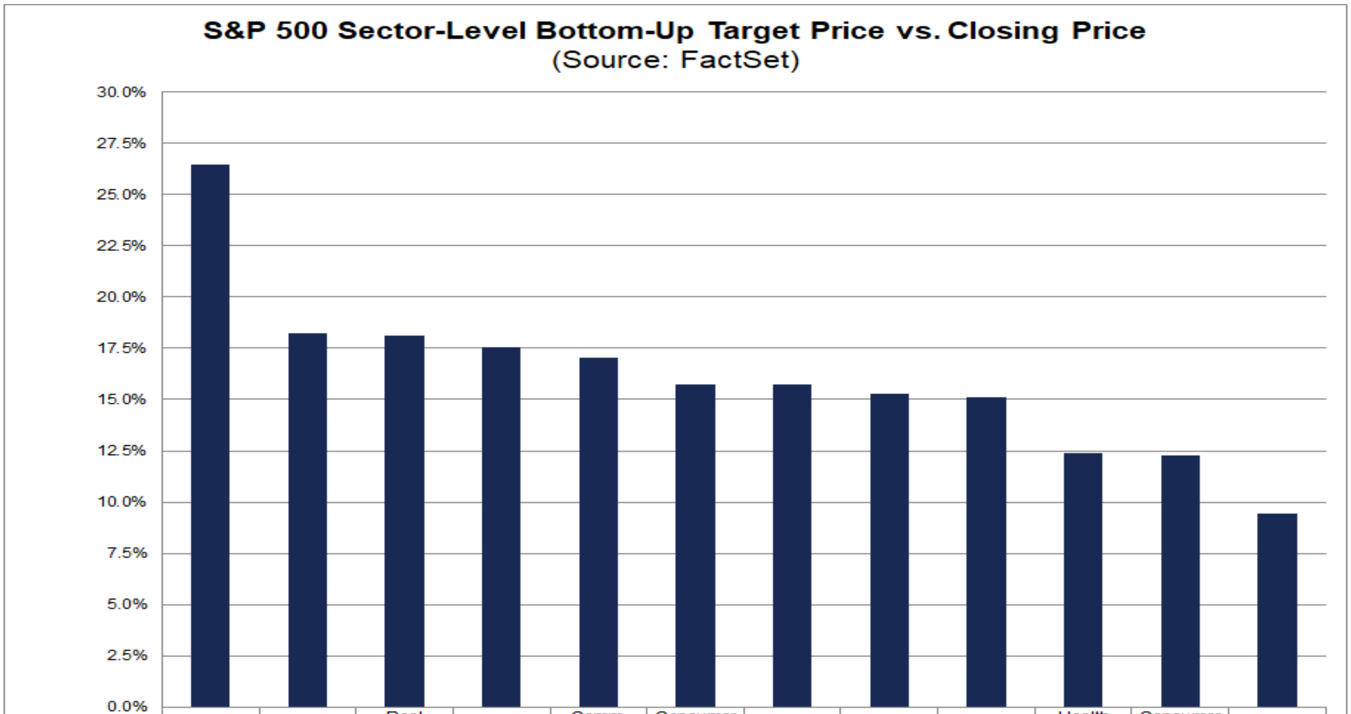




Targets & Ratings



	Info. Tech.	Energy	Comm. Services	Materials	Health Care	S&P 500	Consumer Disc.	Real Estate	Financials	Industrials	Utilities	Consumer Staples
Buy	67%	65%	64%	60%	59%	57%	57%	55%	54%	54%	48%	44%
Hold	29%	33%	32%	36%	37%	38%	38%	43%	40%	41%	46%	48%
Sell	4%	2%	4%	4%	4%	5%	6%	2%	6%	5%	6%	8%



	Info. Tech.	S&P 500	Real Estate	Energy	Comm. Services	Consumer Disc.	Materials	Industrials	Utilities	Health Care	Consumer Staples	Financials
Target/Close	26.5%	18.2%	18.1%	17.6%	17.0%	15.8%	15.7%	15.3%	15.1%	12.4%	12.3%	9.4%

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